

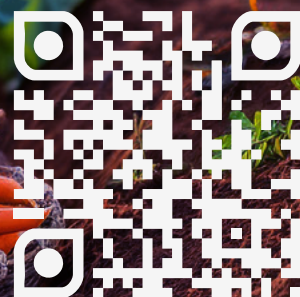
Life Assurance Sector Report

for the Half-Year Ended 30 June 2025



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Protecting The Interests Of Insurance And Pension Consumers



Disclaimer

- i. The Insurance and Pensions Commission (IPEC) has prepared this report exclusively for the informational purposes of stakeholders in the insurance sector. It may not be reproduced, redistributed, communicated to a third party, or relied upon by any other person for any other purpose without the Commission's prior written consent.
- ii. The Commission is not liable for any use of this report beyond the purposes stated above.
- iii. This report covers the life assurance and reinsurance business for the half year ended 30 June 2025, with figures drawn from unaudited accounts submitted by regulated life assurers and reinsurers.
- iv. The data in this report is based on the International Financial Reporting Standard (IFRS) 17 – Insurance Contracts.
- v. Kindly note that all financial figures are in ZWG unless otherwise indicated.
- vi. The ZWG amounts are presented in nominal terms unless specified as absolute terms.
- vii. The Statement of Profit and Loss figures are compared to the same period in the previous year, as the transactions are cumulative and not directly comparable on a quarterly basis. In contrast, the Statement of Financial Position is compared to the prior quarter, as this provides a clearer indication of the industry's performance over the two quarters.
- viii. The conversion of ZWG revenue and assets to US dollars was done using the average exchange rate of ZWG 26.6480 for the review period and the closing interbank rate of ZWG 26.9457, respectively.
- ix. The data in this report is based on 12 direct life assurers and five (5) reinsurers that are in the life reinsurance business.
- x. Except for the foreign currency business section, the amounts in this report are presented as US\$ equivalents, meaning they are not strictly in US\$.

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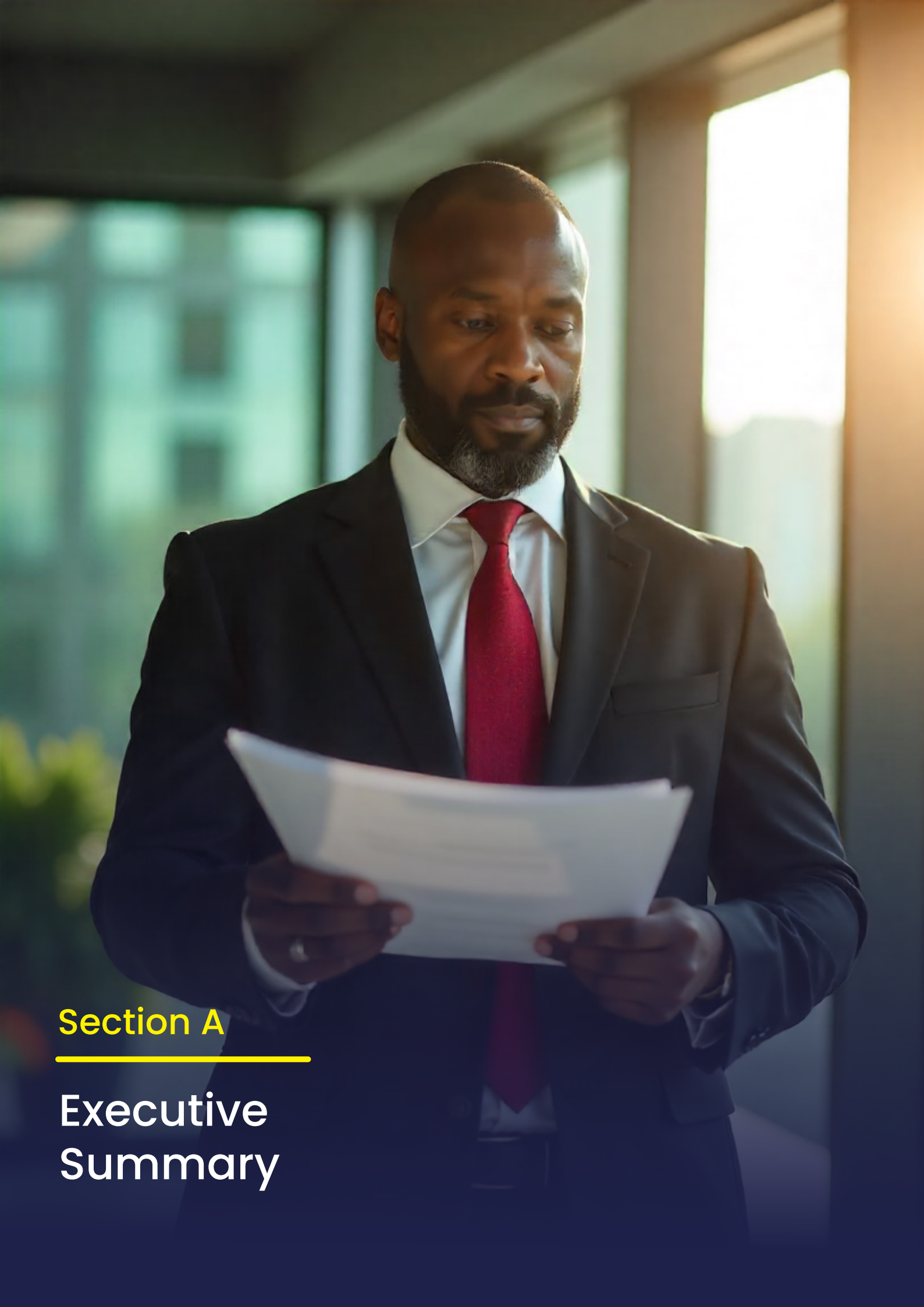
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Abbreviations

IPEC	Insurance and Pensions Commission
IFRS 17	International Financial Reporting Standard (IFRS) 17
MCR	Minimum Capital Requirements
PA	Prescribed Assets as defined by the Insurance Act [Chapter 24:07]
S.I	Statutory Instrument
ZICARP	Zimbabwe Integrated Capital and Risk Programme



Section A

Executive Summary

1. Executive Summary

- 1.1 As at 30 June 2025, the life assurance sector was composed of 12 direct life assurance companies, five (5) reinsurers that were writing life business, and 1,746 life assurance agents. The number of agents decreased by 5% from the 1,838 reported in the first quarter.
- 1.2 The direct life insurers generated total insurance revenue of ZWG2.93 billion, approximately US\$110.05 million, compared to US\$63.07 million during the same period last year. Of the total revenue, US\$59.21 million (54%) came from business conducted in foreign currency. Doves Life Assurance Company failed to submit the forex business reports on time, and regulatory action has been taken. Industry players who make incorrect, partial and late submissions will be subject to the appropriate statutory sanctions.
- 1.3 Recurring business made up 95% of the total insurance revenue, whereas new business accounted for just 5%.
- 1.4 Funeral assurance and group life assurance were the main business contributors to the life insurers sector, collectively generating 83% of the total revenue. During the same period last year, these two products accounted for 86%, representing a 3% decrease in their share.
- 1.5 Two reinsurers and two direct life insurers failed to meet the US\$2 million indexed Minimum Capital Requirements (MCR). The Commission is working with the non-compliant entities and has requested compliance roadmaps.
- 1.6 The total assets of direct life insurers rose by 1%, increasing from the US\$584.95 million equivalent on 31 March 2025, to US\$590.01 million equivalent (ZWG15.90 billion) reported on 30 June 2025. New acquisitions, revaluation gains, and fair value adjustments primarily drove this marginal change.
- 1.7 The total assets reported by life reinsurers amounted to US\$ equivalent of US\$15.17 million (ZWG408.76 million), reflecting an increase of 48% from US\$ equivalent of US\$10.27 million reported as at 31 March 2025. The growth was partly attributed to the entry of a new player, WAICA Re, as well as new acquisitions, revaluation gains and fair value adjustments.

- 1.8 The average compliance ratio for prescribed asset requirements was 8.66%, which is below the statutory minimum of 15% for life insurers, a slight decrease from 8.83% in the previous quarter. Only four direct life insurers met the 15% minimum. Reinsurers reported an average compliance ratio of 26.31%, an increase from 24.23% in the previous quarter. Three reinsurers met the minimum requirement. The Commission is encouraging industry to invest in investments that have been granted prescribed asset status.
- 1.9 The nominal profit before tax (PBT) for the life insurance sector was ZWG918.36 million, equivalent to US\$34.46 million. The PBT at the same time last year was US\$169.81 million. This decline was attributed to a reduction in fair value adjustments as the environment was stable during the current period.
- 1.10 Notably, PBT includes fair value adjustments of ZWG243.93 million (US\$9.15 million) from both quoted and unquoted equity investments, translating to an unrealised profit of 27%. In the comparative period, the unrealised profit was 41%.
- 1.11 Life reinsurers reported a nominal PBT of ZWG42.66 million for the review period, which is equivalent to US\$1.60 million. This profit includes fair value adjustments from equities totalling ZWG0.49 million (US\$0.02 million), based on the average exchange rate for the period. In the same period last year, the PBT was US\$5.28 million.
- 1.12 Shown below are Tables 1 and 2, which present the key financial indicators for life insurers and reinsurance companies.

Table 1: Summary of Key Financial Indicators for Life Assurers

Income Statement KPI	ZWG million June 2025	US\$ million (equivalent) June 2025	US\$ million (equivalent) June 2024	Percentage change
Insurance Revenue	2,932.61	110.05	63.07	74%
Insurance service expenses from contracts issued	1,765.12	66.24	40.91	62%
Insurance service result	1,133.81	42.55	20.79	105%
Net investment result	618.5	23.21	188.08	-88%
Profit (Loss) before tax	918.36	34.46	169.81	-80%

Income Statement Ratios	June 2025	June 2024	Percentage change
Insurance Expense Ratio	21.34%	25.00%	-15%
Claims Ratio	38.85%	40.00%	-3%
Combined Ratio	60.19%	65.00%	-7%
Reassurance Ratio	1.16%	2.00%	-42%
Lapse Ratio	13.60%	6.59%	106%

Statement of Financial Position KPI	ZWG million June 2025	US\$ million (equivalent) June 2025	US\$ million (equivalent) March 2025	Percentage change
Total Assets	15,898.18	590.01	584.95	1.0%
Total Liabilities	7,148.57	265.3	280.24	-5.0%
Shareholders' Equity	8,749.61	324.71	304.7	7.0%
Capital to Liability Ratio	122.40%		108.73%	14.0%
Prescribed Asset Ratio	8.66%		8.83%	-0.2%

Table 2: Summary of Key Financial Indicators for Life Reassurers

Income Statement KPI	ZWG million June 2025	US\$ million (equivalent) June 2025	US\$ million (equivalent) June 2024	Percentage change
Insurance Revenue	117.49	4.41	3.57	24%
Insurance service expenses	70.44	2.64	1.8	47%
Insurance service result	42.41	1.59	1.64	-3%
Net investment result	7.98	0.3	4.04	-93%
Profit (Loss) before tax	42.66	1.6	5.28	-70%

Income Statement Ratios	June 2025	June 2024	Percentage change
Expense Ratio	28.80%	31.00%	-7%
Claims Ratio	31.16%	19.00%	64%
Combined Ratio	59.95%	50.00%	20%

Statement of Financial Position KPI	ZWG million June 2025	US\$ million (equivalent) June 2025	US\$ (equivalent) March 2025	Percentage change
Total Assets	408.76	15.17	10.27	48%
Total Liabilities	108.13	4.01	3.31	21%
Shareholders' Equity	300.64	11.16	6.95	60%
Capital to Liability Ratio	278.04%		210.03%	32%
Prescribed Asset Ratio	26.31%		24.23%	9%



Section B

ABOUT THE COMMISSION

2 The Insurance and Pensions Commission Overview

2.1 The Insurance and Pensions Commission (IPEC) is a statutory body mandated to regulate, supervise, and develop the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe.

Terms of Reference

2.2 The activities of the Commission are guided by the following Acts and their respective regulations:

- Insurance and Pensions Commission Act [*Chapter 24:21*]
- Pensions and Provident Funds Act [*Chapter 24:32*]
- Insurance Act [*Chapter 24:07*]
- Money Laundering and Proceeds of Crime Act [*Chapter 09:24*]
- Finance Act [*Chapter 23:04*]
- Public Entities and Corporate Governance Act [*Chapter 10:31*]
- Public Finance Management Act [*Chapter 22:19*] and
- Public Procurement and Disposal of Public Assets Act [*Chapter 22:23*]
- Administration of Estates Act [*Chapter 6:01*].

2.3. Regulatory Developments

2.3.1. Circulars

The Commission issued the following Circulars during the review period:-

Table 3: Circulars issued during the six months ended 30 June 2025

Circular	Issue date	Content
Circular 1 of 2025	1 February 2025	Pension Funds Reporting Requirements.
Circular 2 of 2025	15 February 2025	Submission of Quarterly Levy Computations and Due Dates.
Circular 4 of 2025	7 February 2025	2025 IPEC AML/CFT/CPF Industry Training Calendar.
Circular 6 of 2025	24 February 2025	Engagement with the Consultant on Financial Sector Development Policy.
Circular 7 of 2025	07 March 2025	Invitation to Participate in Digital Transformation Assessment.
Circular 8 of 2025	27 March 2025	2024 Financial Reporting.
Circular 9 of 2025	28 March 2025	Directive on Revised Statutory Reporting Deadlines.
Circular 10 of 2025	28 March 2025	Market Conduct Framework for The Insurance and Pensions Industry.
Circular 11 of 2025	3 April 2025	2024 Annual Reporting.
Circular 12 of 2025	1 April 2025	Clarity on Application of "No Premium No Cover" on Ceding of Insurance Business to Reinsurers.
Circular 13 of 2025	11 April 2025	Insurance Product Approval Framework
Circular 14 of 2025	8 April 2025	Minimum Re Reinsurance Standards for the Insurance Industry
Circular 15 of 2025	20 April 2025	IFRS 17 Industry Feedback Session

Circular	Issue date	Content
Circular 17 of 2025	25 June 2025	Issuance of Statutory Instrument 67 of 2025 on Minimum Capital Requirements - Insurance (Amendment) Regulations, 2025 (No. 28).
Circular 18 of 2025	27 June 2025	Reminder: 2024 Annual Reporting Submissions Due by 30 June 2025



Section C

Economic Overview

3. Economic Overview

3.1. Domestic Outlook

- 3.1.1. The second quarter of 2025 was marked by a sustained path of macroeconomic stability, characterised by continued disinflation, a stable exchange rate, and strong foreign currency inflows.
- 3.1.2. This trajectory was underpinned by tight monetary policies from the Reserve Bank of Zimbabwe (RBZ), improved electricity generation at Kariba Hydro-Power Station, and robust agricultural recovery.
- 3.1.3. The Government has remained committed to advancing structural reforms and strengthening fiscal discipline. These efforts are expected to consolidate the macroeconomic stability achieved so far and foster a more predictable environment, which is essential for sustaining economic growth in the second half of the year.
- 3.1.4. In the context of the Insurance sector, the growth is anticipated to broaden the revenue base, improve coverage potential, and reduce systemic risk. With a stronger fiscal position and improved private sector credit access, confidence in long-term financial instruments such as insurance continues to firm up.

3.2. Global Outlook

- 3.2.1. During the first half of 2025, global economic performance was shaped by a mix of recovery momentum and emerging risks. According to the Mid-Term National Budget Review, global economic growth is now projected at 2.8%, down from the 3.2% forecast made in October 2024.
- 3.2.2. The downward revision is a result of the anticipated increases in trade tariffs and geopolitical tensions in Europe and the Middle East.
- 3.2.3. Sub-Saharan Africa's economic momentum has softened, with growth now projected at 3.8%, down from an earlier estimate of 4.2% in October 2024.

- 3.2.4. In a similar trend, the Southern African Development Community (SADC) is expected to grow by just 2.8% in 2025, revised downward from the earlier projection of 3.3%.
- 3.2.5. These revisions highlight the region's vulnerability to both global shocks and internal structural challenges, reinforcing the urgency for national economic resilience and investment in climate-proof growth strategies.

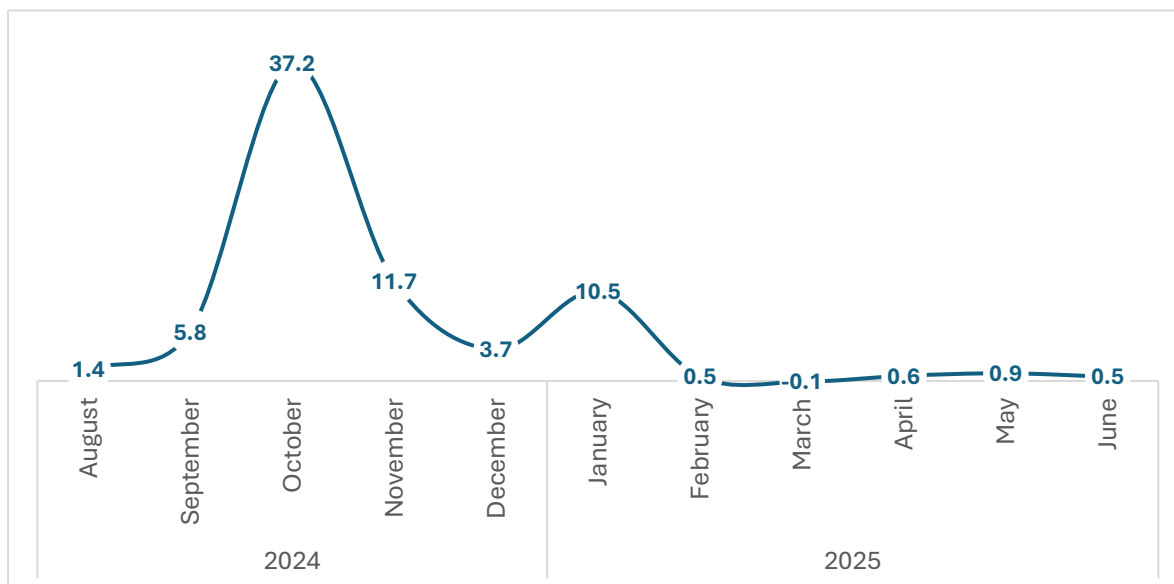
3.3. Domestic Macroeconomic Developments

- 3.3.1. During the second quarter of 2025, the economy recorded steady macroeconomic gains, largely attributed to the impact of sustained policy reforms and structural adjustments implemented over the past year.
- 3.3.2. A significant development during the period was the completion of the GDP rebasing exercise by ZIMSTAT, which revised the size of the economy from US\$35.2 billion in 2024 to approximately US\$45.7 billion. This upward revision also raised GDP per capita to above US\$3,000, thereby reinforcing Zimbabwe's progression towards upper-middle-income status by 2030.
- 3.3.3. The key aspect of the rebasing exercise highlighted the significant and growing role of the informal sector, which now accounts for an estimated 76% of the national economy. This structural reality underscores the need for policies that formalise economic activities, improve revenue collection, and extend social protections to this large segment of the workforce.
- 3.3.4. The revised sectoral composition of the economy reflects increased diversification, with manufacturing (15.3%), mining and quarrying (14.5%), financial and insurance services (10.8%), and agriculture (9.3%) emerging as the leading contributors to national output.
- 3.3.5. This structural shift is indicative of the growing importance of value-added sectors, which collectively enhance the country's productive capacity and fiscal planning framework.
- 3.3.6. Furthermore, the overall stability achieved in the second quarter was supported by the continuation of tight monetary and fiscal coordination, which created a conducive environment for sustained growth and investment.

3.4. Inflation Developments

- 3.4.1. During the first half of 2025, Zimbabwe experienced relative stability in monthly inflation trends.
- 3.4.2. Month-on-month inflation, measured in ZWG, averaged around 0.5%, reflecting the effectiveness of the Reserve Bank of Zimbabwe's tight monetary policy stance.
- 3.4.3. However, on a year-on-year basis, inflation increased from 85.7% in April to 92.5% in June 2025, a trend largely attributed to the statistical base effect stemming from currency reforms implemented in 2024. This elevated annual inflation is expected to moderate significantly at the beginning of October 2025, as the base effect subsides and the monetary discipline is maintained.

Figure 1: Percentage Monthly Inflation Rates



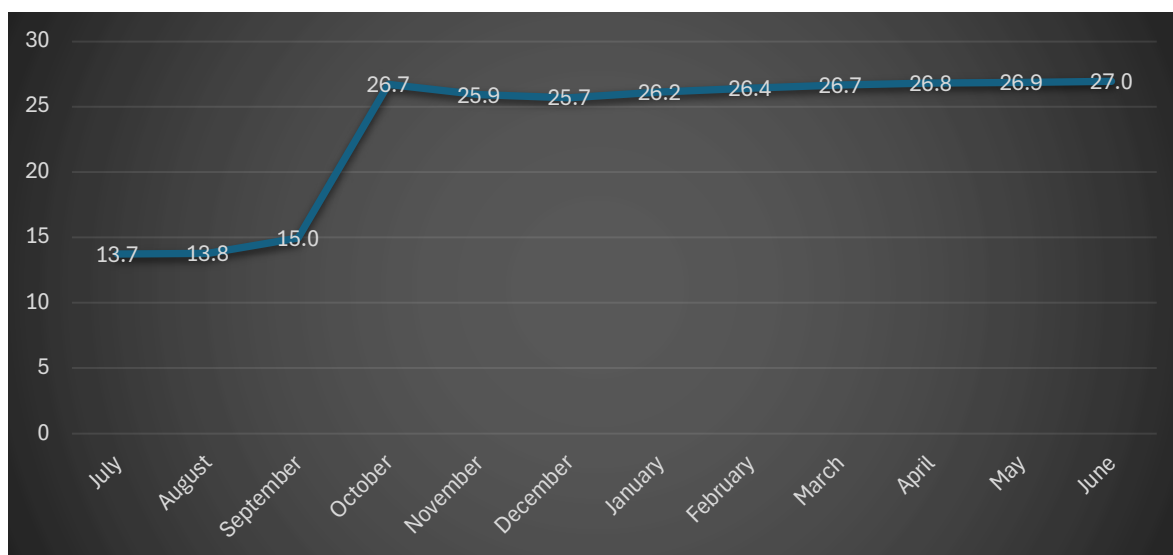
3.5. Exchange Rate Developments

- 3.5.1. The observed price stability during the period under review was strongly supported by a stable exchange rate environment.
- 3.5.2. The interbank rate on the Willing Buyer Willing Seller (WBWS) on the foreign exchange market averaged US\$1: ZWG26.66 throughout the six months of the year.

3.5.3. This sustained exchange rate stability was a direct outcome of foreign exchange market reforms and strategic interventions by RBZ, which helped narrow the parallel market premium and improved price discovery.

3.5.4. The consistent performance of the exchange rate played a critical role in anchoring inflation expectations and maintaining macroeconomic stability.

Figure 2: Average Interbank Rate



3.6. Zimbabwe Stock Exchange (ZSE)

3.6.1. The performance of the ZSE during the period spanning April to June 2025 reflected improved investor sentiment and increased trading activity, partly driven by macroeconomic stability and the continued consolidation of the ZWG currency. The following key developments evidenced this:

- 3.6.1.1. The aggregate market capitalisation of the ZSE rose from ZWG 58.41 billion in April to ZWG 60.97 billion in June 2025, indicating renewed interest in equities and improved confidence in local asset valuations.
- 3.6.1.2. Turnover on the Zimbabwe Stock Exchange (ZSE) continued an upward trajectory in the second quarter of 2025, recording a total of ZWG 1.40 billion, up from ZWG 951.29 million in Q1. This growth in trading activity reflects improved investor sentiment, increased liquidity, and sectoral rotation among institutional investors.

3.6.1.3. The ZSE All-Share Index continued to exhibit volatility over the period, reflecting investor responses to evolving economic fundamentals, exchange rate movements, and company-specific disclosures.

3.7. **Victoria Falls Stock Exchange Market (VFEX)**

3.7.1. The performance of the VFEX during the second quarter of 2025 exhibited signs of contraction, reflective of both global and domestic market conditions, as well as investor sentiment following monetary tightening and exchange rate adjustments.

3.7.2. The VFEX recorded a decline in market capitalisation to US\$1.250 billion by June 2025, down from US\$1.33 billion in Q1. This movement aligns with broader capital market trends outlined in the 2025 Mid-Term Budget, where investor risk appetite appeared to moderate in response to a more stable ZWG exchange rate, declining inflation, and cautious reallocation of capital by institutional investors.

3.7.3. During the second quarter of 2025, total turnover on the VFEX amounted to US\$14.83 million, reflecting subdued trading activity compared to the US\$58.5 million recorded in Q1 of 2025. The total volume traded stood at 72.67 million shares, indicating a marginal increase in transactions but lower-value trades, consistent with prevailing investor caution and sectoral rebalancing.

3.7.4. The low activity on VFEX reflects the tighter financial conditions including lower budget deficits and improved debt levels.

3.7.5. Although VFEX is still essential for US\$ investments and foreign listings, the Q2 performance shows the need for stronger coordination in capital markets, clear fiscal policies, and stable exchange rates to attract more investors.



Section D

PERFORMANCE OF LIFE ASSURANCE COMPANIES

PERFORMANCE OF LIFE ASSURANCE COMPANIES

4. Architecture of the Life Assurance Sector

- 4.1. During the review period, there were 12 registered life insurers.
- 4.2. These life insurers reported a total of 1,746 agents, including both corporate and individual representatives. This figure represents a 5% decrease from the 1,838 agents reported in the previous quarter.

5. Performance in Terms of Insurance Revenue

- 5.1. Direct life insurers reported insurance revenue of ZWG2.93 billion, equivalent to US\$110.05 million, during the review period, based on the average official exchange rate. This represents a 74% increase from the US\$63.07 million reported for the same period in 2024. Revenue from foreign currency business accounted for 54% of the total insurance revenue, down from 68%.
- 5.2. Funeral assurance and group life assurance were the primary revenue drivers in the life insurance sector, jointly contributing 83% of total revenue.
- 5.3. The share of revenue generated from funeral assurance and group life assurance is steadily rising, affecting the market share of traditional life assurance products.
- 5.4. This increase raises concerns about alignment with the intent of the Funeral Directive, particularly regarding the protection of policyholders. Consequently, the industry is advised to ensure compliance with the Funeral Directive.
- 5.5. The table below shows the insurance revenue and net premium written per life company.

Table 4: Insurance Revenue and Net Premium Written Per Company

Company	Insurance Revenue June 2025 (ZWG Million)	Market Share (Insurance Revenue)	Net Premium Written June 2025 (ZWG Million)	Market Share (Net Premium Written)
Nyaradzo Life	1,170.16	39.90%	1,814.46	50.52%
Doves Life	468.55	15.98%	499.73	13.91%
Old Mutual Life	427.60	14.58%	440.82	12.27%
First Mutual Life	201.71	6.88%	140.72	3.92%
Econet Life	186.70	6.37%	177.81	4.95%
Zimnat Life	185.17	6.31%	175.34	4.88%
Fidelity Life	117.58	4.01%	117.58	3.27%
CBZ Life	81.32	2.77%	87.47	2.44%
ZB Life	75.38	2.57%	130.12	3.62%
Nhaka Life	12.41	0.42%	-	0.00%
Evolution Life	4.91	0.17%	5.17	0.14%
Heritage Life	1.11	0.04%	2.52	0.07%
Total	2,932.61	100.00%	3,591.75	100.00%

- 5.6. In terms of market share, Nyaradzo Life Assurance Company leads the life assurance sector with a 39.9% share, primarily due to its revenue from funeral assurance.
- 5.7. The combined revenue of the top five companies in the sector reached ZWG2.45 billion, equivalent to US\$92.12 million.
- 5.8. These top five life insurers account for 84% of the sector's total revenue, highlighting a significant concentration of revenue among these major players.
- 5.9. The Herfindahl-Hirschman Index (HHI) for the life assurance industry stands at 2,832, indicating a highly concentrated market.

6. Insurance Revenue by Product

- 6.1. Funeral assurance continues to be the leading product in the life assurance sector, accounting for 68.9% of total revenue. Group life assurance follows as the next most significant product, contributing 13.7% of total revenue.
- 6.2. Credit assurance's share of business stood at 7.2%, endowment plans (3.4%), and other life products making up the remaining 6.4% of revenue.

6.3. The figure below illustrates the revenue distribution across various life assurance product lines, while the accompanying table offers a detailed breakdown of insurance revenue by product line for each company.

Figure 3: Distribution of Insurance Revenue by Product Line

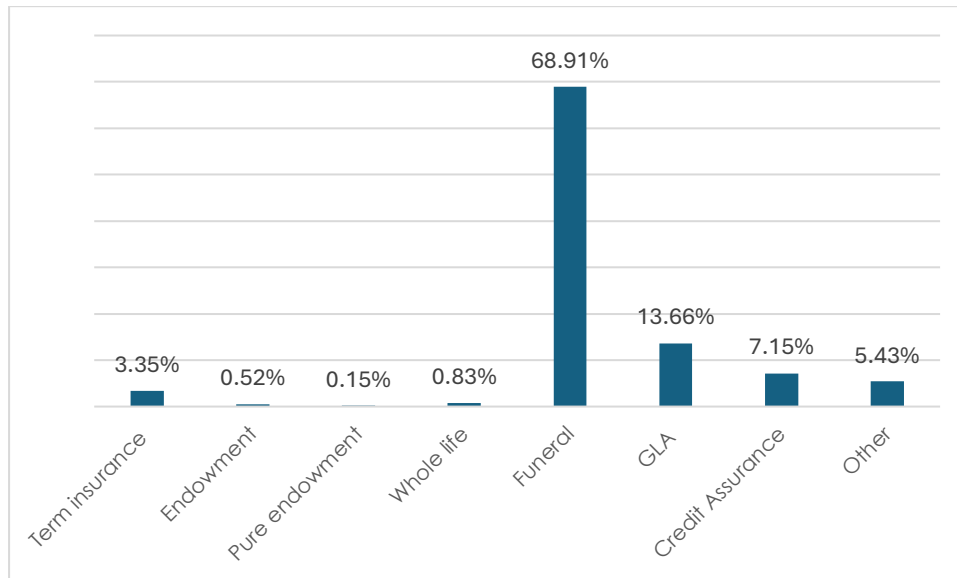


Table 5: Distribution of Insurance Revenue by Product Line Per Company

Company	Term insurance	Endowment	Pure endowment	Whole life	Funeral	GLA	Credit Life Assurance	Other	Total
ZWG Million									
Nyaradzo Life	-	-	-	-	1,170.16	-	-	-	1,170.16
Doves Life	-	-	-	-	468.55	-	-	-	468.55
Old Mutual Life	-	-	-	-	55.93	162.13	209.55	-	427.60
First Mutual Life	63.68	-	-	-	16.62	68.10	-	53.31	201.71
Econet Life	-	-	-	-	175.93	7.22	-	3.55	186.70
Zimnat Life	15.46	11.43	-	23.34	22.99	111.94	-	-	185.17
Fidelity Life	0.74	2.86	4.43	0.82	8.38	13.60	-	86.75	117.58
ZB Life	2.54	0.89	-	0.05	52.46	9.58	-	9.85	75.38
CBZ Life	12.96	-	-	-	40.52	27.73	-	0.11	81.32
Nhaka Life	2.94	-	-	-	4.49	0.39	-	4.59	12.41
Evolution Life	-	-	-	-	4.91	-	-	-	4.91
Heritage Life	-	-	-	-	-	0.01	-	1.10	1.11
Total	98.32	15.19	4.43	24.22	2,020.94	400.69	209.55	159.27	2,932.61

6.4. Of the top five companies by insurance revenue, Nyaradzo Life and Doves Life primarily focus on funeral products, while Old Mutual Life, First Mutual Life, and Econet Life offer a more diversified portfolio that includes funeral, GLA, and other life assurance products.

7. Not Taken Up Policies

7.1. During the quarter under review, the life assurance sector recorded a total of 23,119 Not Taken Up (NTU) policies, with projected insurance revenue amounting to ZWG189.17 million (US\$ equivalent US\$7.15 million).

7.2. The table below shows the not taken up policies.

Table 6: Not Taken Up Policies

Name of Company	Number of Policies	Insurance Revenue ZWG Million
Econet Life	10,497	186.70
Doves Life	10,011	0.08
Zimnat Life	2486	1.49
Fidelity Life	79	0.09
Old Mutual Life	46	0.80
Total	23,119	189.17

7.3. Econet Life and Doves Life recorded high NTU rates, which could be due to a lack of clear product understanding as potential clients enter into quick sign-ups and fail to commit to policy terms, while on the other hand.

7.4. Life assurers are encouraged to closely monitor how agents present their products to potential clients to prevent misrepresentation. This underscores the importance of consumer education programs, both within individual companies and throughout the life assurance industry.

Lapsable Policies

7.5. The life assurance sector started the second quarter of 2025 with 2,116,475 policies. During this quarter, 287,934 policies lapsed, resulting in a lapse ratio of 13.60%. This marks a 106% increase from the 6.59% lapse ratio reported in the same quarter last year.

7.6. Policy lapses are mainly attributed to affordability issues and changes in policyholders' circumstances. The Commission expects insurers to maintain

proactive and effective communication with policyholders before lapses, exploring potential solutions to prevent policy cancellations.

7.7. The table below shows the lapse ratio per entity.

Table 7: Lapse Ratios

Name of Company	No. of Lapsable Policies at the Beginning of the Quarter	Lapsed Policies (Individual Life)	Lapsed Policies (Group Business)	Lapse Ratio
Nhaka Life	39	11	-	28.21%
Econet Life	1,096,782	237,020	151	21.62%
Old Mutual Life	84,984	4,762	-	5.60%
Nyaradzo Life	562,127	23,017	8,228	5.56%
Doves Life	177,317	3,591	5,476	5.11%
Zimnat Life	61,104	3,001	-	4.91%
First Mutual Life	75,743	2,262	-	2.99%
Fidelity Life	56,522	230	-	0.41%
CBZ Life	-	-	-	0.00%
ZB Life	-	185	-	0.00%
Evolution Life	-	-	-	0.00%
Heritage Life	1,857	-	-	0.00%
Total/ Average	2,116,475	274,079	13,855	13.60%

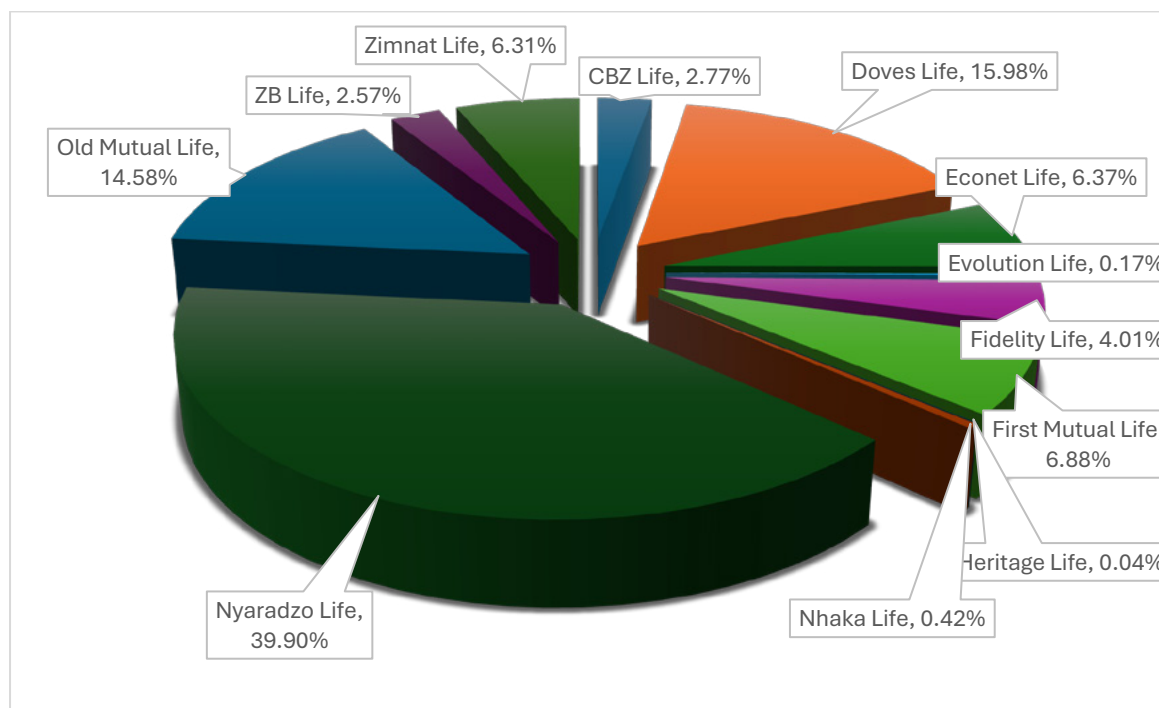
7.8. During the review period, Econet Life and Nhaka Life reported a lapse ratio exceeding 10%, primarily due to policyholders facing financial difficulties and changing insurance preferences. These factors significantly contributed to the discontinuation of policies. Econet Life and Nhaka Life must conduct thorough experience analyses to accurately identify the root causes of these lapses.

7.9. Based on the insights gained, the companies must develop and implement targeted, data-driven strategies designed to reduce lapse rates and improve policyholder retention.

8. Market Share

8.1. In terms of revenue, Nyaradzo Life and Doves Life are the top players in the life insurance sector, together holding a substantial market share of 55.88%, while the other insurers account for the remaining 44.12% of the market.

8.2. The Figure below shows the market share for the sector in terms of revenue.

Figure 4: Market Share in Terms of Insurance Revenue

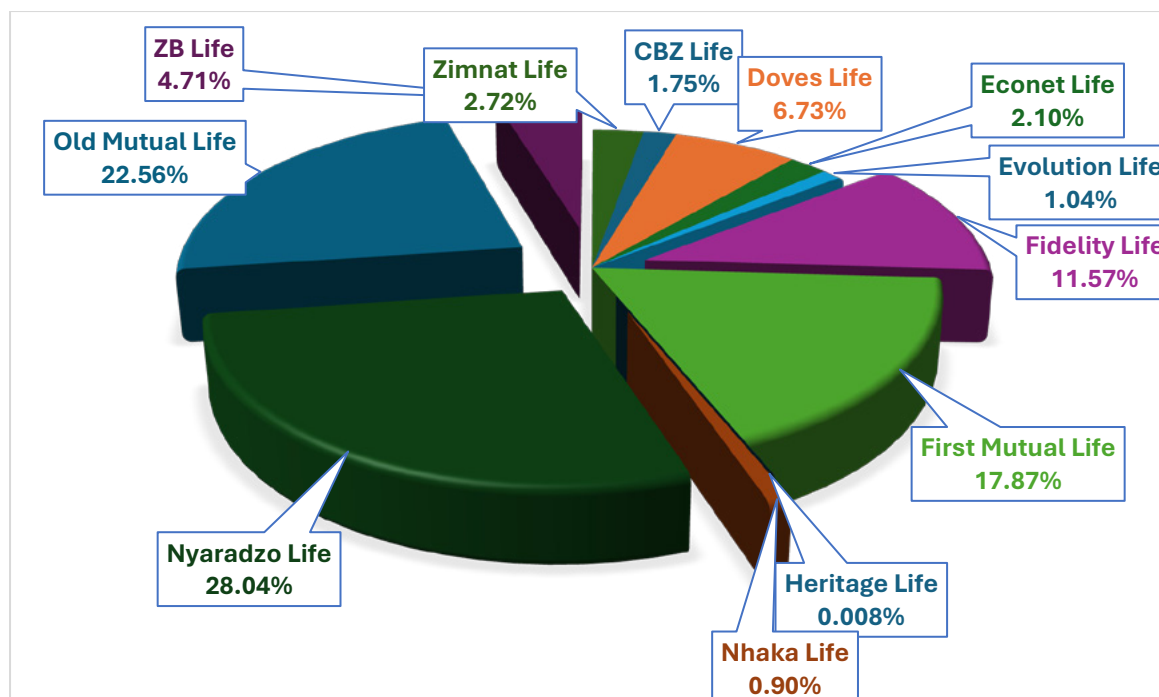
8.3. To promote sustainable growth within the insurance industry, market participants should focus on developing innovative products that align with current market dynamics and the changing needs of consumers. Relying heavily on funeral assurance products may not be a sustainable long-term growth strategy for the sector. Diversifying into a broader range of value-driven insurance solutions is crucial to maintain resilience and relevance in an evolving economic and demographic landscape.

Market Share by Asset

8.4. Old Mutual Life Assurance and Nyaradzo Life lead the life assurance sector in terms of assets, together accounting for 51% of the market share, while the other entities collectively hold the remaining 49%.

8.5. The chart below presents the distribution of market share by entity based on assets.

Figure 5: Market Share by Assets



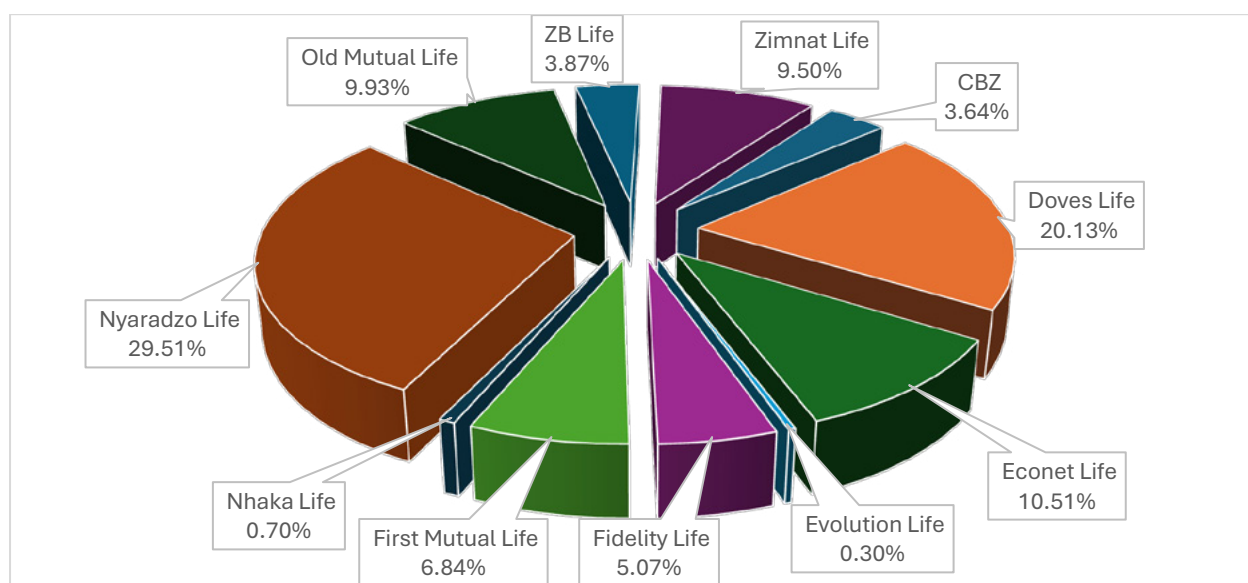
8.6. Life assurance companies should maintain a strong and resilient asset base, marked by effective asset-liability matching in terms of duration and liquidity. This approach guarantees the timely fulfilment of policyholder obligations as they arise, thereby protecting financial stability and bolstering stakeholder confidence.

9. Foreign Currency Business

- 9.1. During the review period, the life insurance sector generated a total of US\$59.21 million in foreign currency revenue, reflecting a 38% increase from the US\$42.94 million reported in the same period of 2024.
- 9.2. This growth in foreign currency business is primarily attributed to policyholders shifting from local currency policies to foreign currency policies, due to the recurring nature of a substantial portion of the business.
- 9.3. During the period under review, foreign currency business accounted for 54% of total revenue, marking a 21% drop from the 68% recorded in the same period of 2024.

- 9.4. Doves Life submitted the US\$ return very late. The industry has been reminded that partial or incorrect submissions, as well as late submissions, will result in statutory sanctions.
- 9.5. In accordance with Statutory Instrument 280 of 2020, life insurance companies are reminded to invest foreign currency premiums in foreign currency-denominated assets and to settle claims in the corresponding foreign currency.
- 9.6. The figure below presents a breakdown of foreign currency business written by each life assurance company.

Figure 6: Market Share by US\$ Insurance Revenue



- 9.7. Nyaradzo Life holds the largest share of the foreign currency business, accounting for 29.51%, due to its dominant market share within the life assurance sector.

10. Reassurance

- 10.1. The life assurance sector transferred ZWG117.49 million (US\$4.41 million) of its total premiums to reinsurers, resulting in a reinsurance ratio of 1.16%.
- 10.2. This low reinsurance ratio is primarily due to the prevalence of funeral assurance products, which typically provide in-kind funeral services instead of monetary benefits and are generally not reinsured. Additionally, the widespread offering of annually renewable policies by industry players, many of which also lack reinsurance, further contributes to the limited uptake of reinsurance in the sector.

10.3. Reinsurance is a crucial tool in risk management, allowing insurers to enhance capital efficiency by transferring a portion of their underwritten liabilities to reinsurers. This strategic risk transfer bolsters financial resilience and improves control over overall risk exposure.

10.4. Life insurance companies should thoroughly evaluate their risk retention capabilities, especially for GLAs, and secure reinsurance coverage where appropriate.

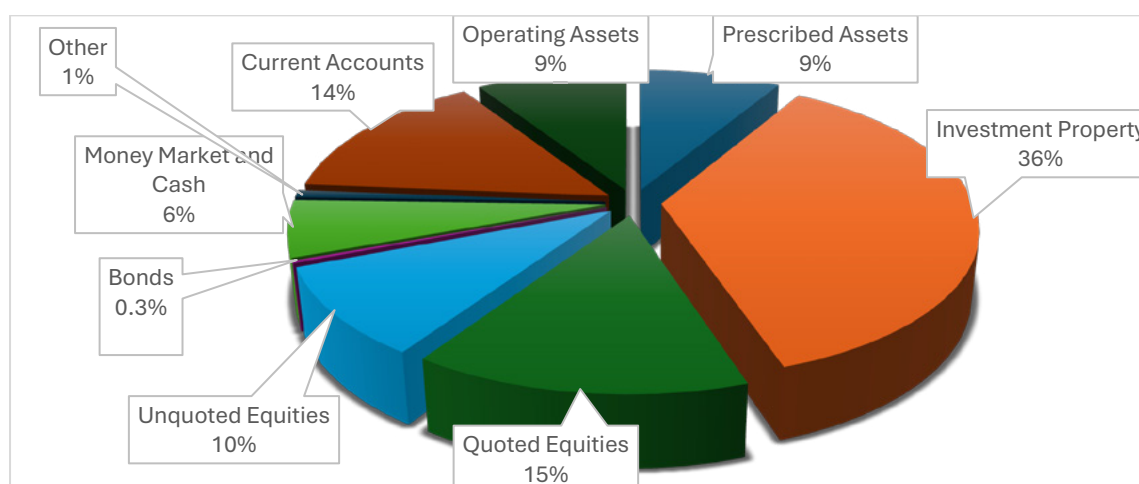
11. Asset Quality

11.1. The life assurance sector reported total assets of ZWG15.90 billion (approximately US\$590.01 million), representing a 1% increase from the US\$584.95 million recorded on 31 March 2025.

11.2. Life assurance companies mainly invest in quoted equities and investment properties, which together account for 50.82% of their total assets. These investments are deemed well-suited for inflationary economic conditions due to their favourable risk-return profiles.

11.3. The figure below shows the distribution of assets for the life assurance sector by class.

Figure 7: Assets Breakdown by Class



11.4. Other assets comprise insurance assets (0.81%), reinsurance assets (0.02%) and premium debtors.

11.5. Insurers are encouraged to maintain a prudent alignment between asset composition and the nature and duration of corresponding liabilities to support effective asset-liability management and ensure financial stability.

12. Prescribed Assets

12.1. The life assurance sector's total investments in prescribed assets reached ZWG1.38 billion, equivalent to US\$51.08 million. This reflects an average compliance level of 8.66% for the review period, which falls short of the minimum regulatory requirement of 15%.

12.2. Among the twelve life assurance companies, CBZ Life, Nhaka Life, Econet Life, and Fidelity Life met the minimum prescribed asset ratio of 15% of total assets.

12.3. The Commission expects the sector to enhance its investments in prescribed assets as more diversified prescribed asset investments are being offered to meet established minimum thresholds.

13. Liquidity and Earnings

13.1. The life sector reported a positive insurance result of ZWG1,133.81 million (US\$42.55 million), indicating an underwriting profit from core insurance operations.

13.2. The current ratio for life insurers was 1.07:1, indicating that the industry's liquid assets were adequate to cover short-term contractual obligations.

13.3. The average combined ratio for life insurers was 60.19%, reflecting the sector's overall profitability. This includes a claims ratio of 38.85% and an insurance expense ratio of 21.34%.

13.4. In addition to the insurance service result, profit before tax for the review period was ZWG918.36 billion, with investment income, dividends and fair value gains on quoted equities as contributors. When converted using the average official exchange rate for the period, this amounts to US\$34.96 million, marking an 80% decrease from US\$169.81 million reported in the same period last year, attributed to market corrections following the introduction of ZWG.

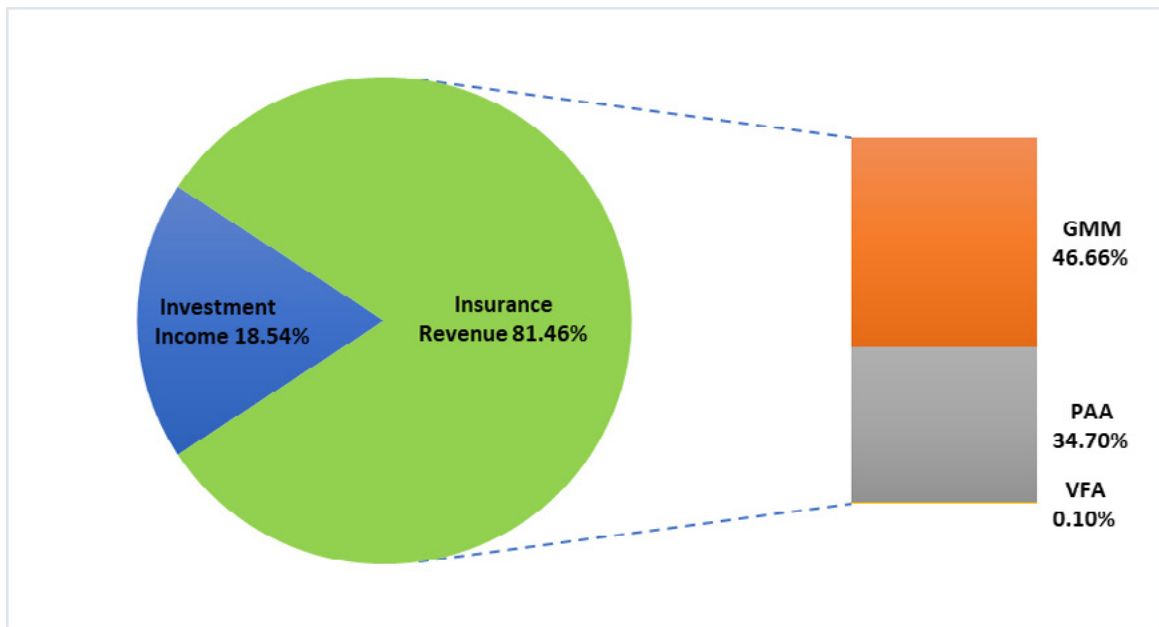
13.5. The table below summarises the expenses, claims, and combined ratio for the life sector.

Table 8: Expense Ratios

Company	Expense Ratio	Claims Ratio	Combined Ratio
CBZ Life	61%	38%	99%
Econet Life	31%	52%	83%
Nyaradzo Life	21%	59%	80%
ZB Life	48%	27%	75%
Evolution Life	57%	18%	75%
First Mutual Life	30%	24%	54%
Old Mutual Life	29%	24%	52%
Heritage Life	0%	38%	38%
Zimnat Life	8%	28%	36%
Nhaka Life	2%	31%	33%
Doves Life	7%	17%	24%
Fidelity Life	5%	8%	13%
Industry Total	21%	39%	60%

13.6. All life insurance companies reported combined ratios below 100%, indicating strong underwriting performance, although CBZ Life (99%) was close to breaking even.

13.7. The figure below shows the distribution of revenue for the sector.

Figure 8: Composition of Income for Life Companies

13.8. Total revenue during the review period was primarily driven by insurance income, which accounted for 81.46% of the total, while investment income contributed 18.54%. This marks a significant shift from the previous year, when investment income dominated at 78%, with insurance income making up

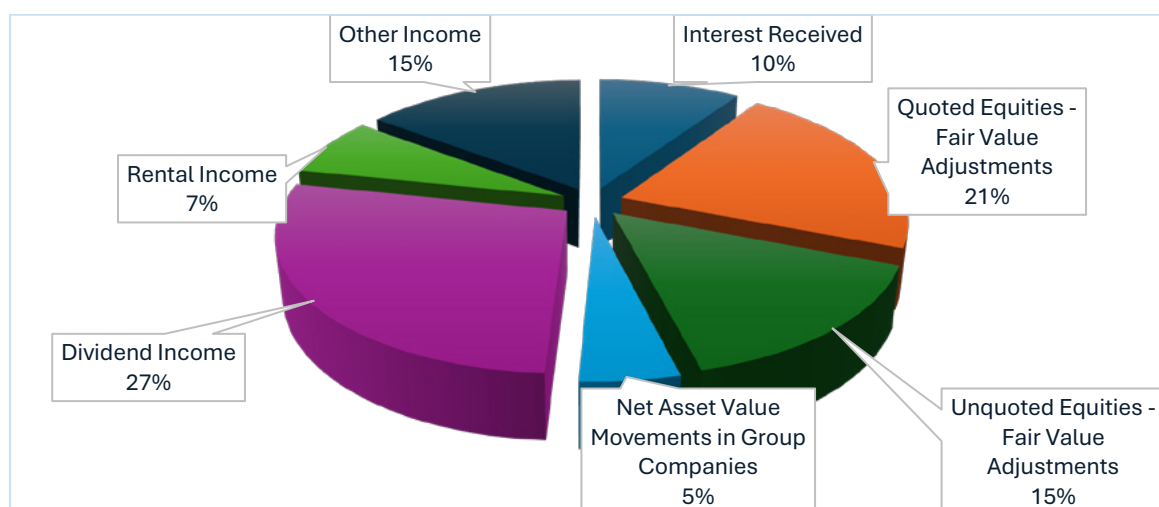
only 22%. The change reflects the effects of a more stable exchange rate environment, resulting in a notable decrease in revaluation gains and fair value adjustments.

13.9. The industry continued to recognise a larger share of its insurance revenue through the General Measurement Model (GMM), which remains the default model for all contracts.

13.10. The simpler Premium Allocation Approach (PAA) contracts accounted for 42.60% of insurance revenue, while the Variable Fee Approach (VFA) contributed only 0.12%, indicating a limited number of products with direct participation features.

13.11. Earnings from fair value adjustments on gold coins, contract fees, gains from equity sales, commission income, fund administration fees, and other income sources comprised investment income.

Figure 9: Composition of Investment Income in Life Companies



14. Capitalisation

14.1. As at 30 June 2025, ten life assurance companies had met the US\$-linked Minimum Capital Requirement (MCR) of US\$2 million gazetted through S.I. 167 of 2025. The Commission will work with the two affected entities to ensure their turnaround; failure to do so may result in them being prevented from declaring dividends to shareholders, restraining them from writing new business, and ultimately leading to the cancellation of their licences.



Section E

PERFORMANCE OF LIFE REASSURANCE COMPANIES

PERFORMANCE OF LIFE REASSURANCE COMPANIES

15. Nature of the Reassurance Business

15.1. Life reinsurers are authorised to underwrite both life and non-life business. However, this section focuses exclusively on their life assurance activities, except for capital positions, which encompass both life and non-life sectors.

16. Performance in Terms of Reassurance Revenue

16.1. During the review period, life reinsurers recorded insurance revenue of ZWG117.49 million, approximately US\$4.41 million based on the average interbank exchange rate for the review period.

16.2. Insurance revenue for reinsurers increased by 24%, up from US\$3.57 million reported during the same period in 2024.

16.3. Group life assurance was the primary contributor to reassurance business revenue, accounting for 59% of the total revenue generated by reinsurers.

16.4. Reassurance companies reported a positive insurance service result of ZWG42.41 million, roughly US\$1.59 million.

17. US\$ Business Revenue for Reinsurers

17.1. For the period ending 30 June 2025, life reassurance companies reported foreign currency-denominated business totalling US\$3.71 million, representing 84% of their total insurance revenue. This significant proportion highlights the crucial role of foreign currency transactions in the underwriting activities of life reinsurers, indicating their substantial exposure to foreign currency markets.

17.2. Insurance revenue increased by 19% compared to US\$3.12 million reported during the same period in 2024.

17.3. The total insurance service result for life reinsurers amounted to US\$1.24 million, reflecting an underwriting profit for the review period but representing an 8.82% decline from the US\$1.36 million reported in June 2024.

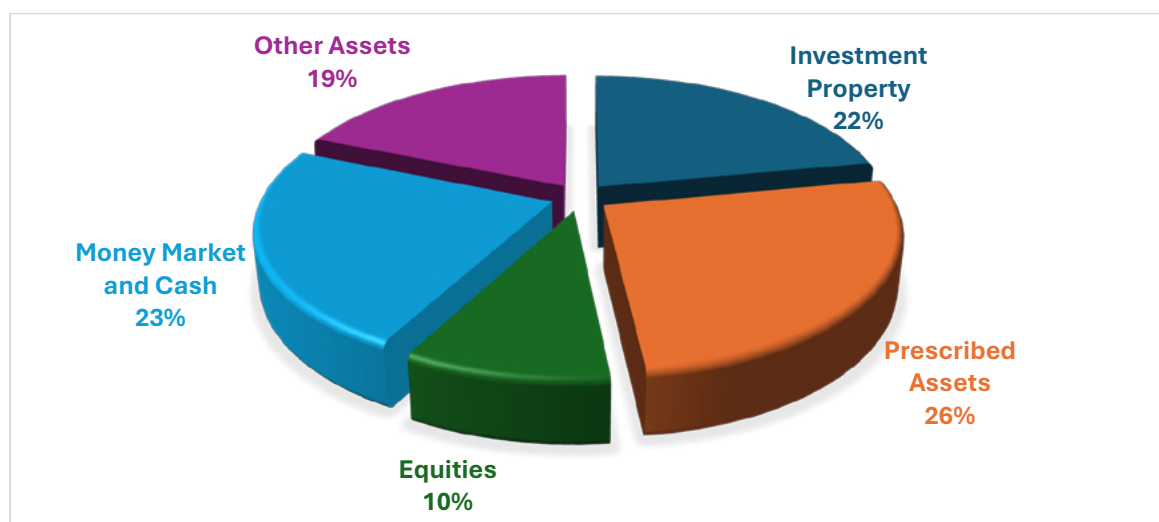
17.4. Profit before tax for the review period was US\$1.12 million, marking a 3.7% increase from US\$1.08 million reported on 30 June 2024.

18. Reassurers' Asset Quality

18.1. Total assets for life reassurers reached ZWG408.76 million, equivalent to US\$15.17 million, reflecting a 48% increase from the US\$10.27 million reported as of 31 March 2025. This growth is attributed to fair value adjustments and new investments in various asset classes, including prescribed assets.

18.2. The figure below illustrates the distribution of assets for life reassurers.

Figure 10: Life Reassurers' Total Assets



18.3. Among the total assets reported by reassurers, prescribed assets investments represented the largest asset class, comprising 26% of the sector's assets. Investment property accounted for 26%, while other assets made up 19% of the total.

19. Prescribed Assets

19.1. The life reinsurance sector's total investments in prescribed assets amounted to ZWG107.56 million, equivalent to US\$3.99 million based on the closing rate for the period. This corresponds to an average compliance ratio of 26.31%, significantly exceeding the prescribed asset threshold of 15%. The increase in the average compliance ratio was primarily driven by investments in treasury bills during the review period.

19.2. Emeritus Re and FML Re were the only companies in the reinsurance industry that failed to meet the minimum prescribed asset threshold of 15%.

19.3. Compliance with prescribed asset requirements remains a national priority. As such, reinsurers are encouraged to continue their involvement in developmental projects that align with prescribed asset requirements and compliance standards.

20. Earnings

20.1. For the review period, profit before tax was ZWG42.66 million, equivalent to approximately US\$1.6 million, primarily generated from investment income. Notably, while a significant portion of revenue for reinsurers also came from insurance operations, this contrasts with previous reports where investment income was more dominant.

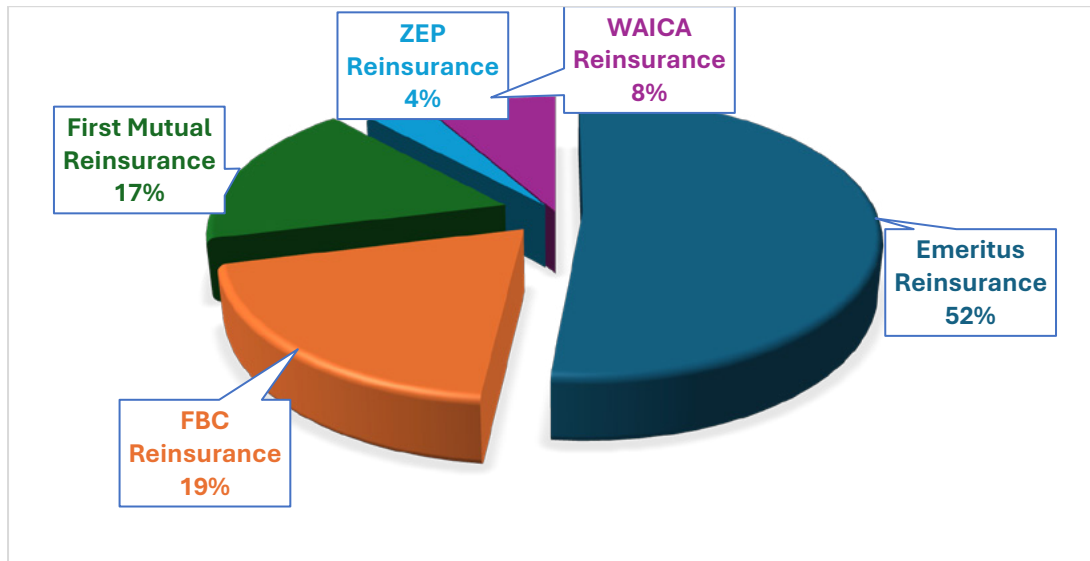
20.2. During the review period, reinsurers reported a claims ratio of 31.2% and an expense ratio of 28.8%, resulting in a combined ratio of 60%.

21. Market Share

Market Share by Reinsurance Revenue

21.1. In terms of revenue market share, Emeritus Re ranked first with 52% market share, followed by FBC Re at 19%, First Mutual at 17%, WAICA Re at 8%, and ZEP Re at 4%.

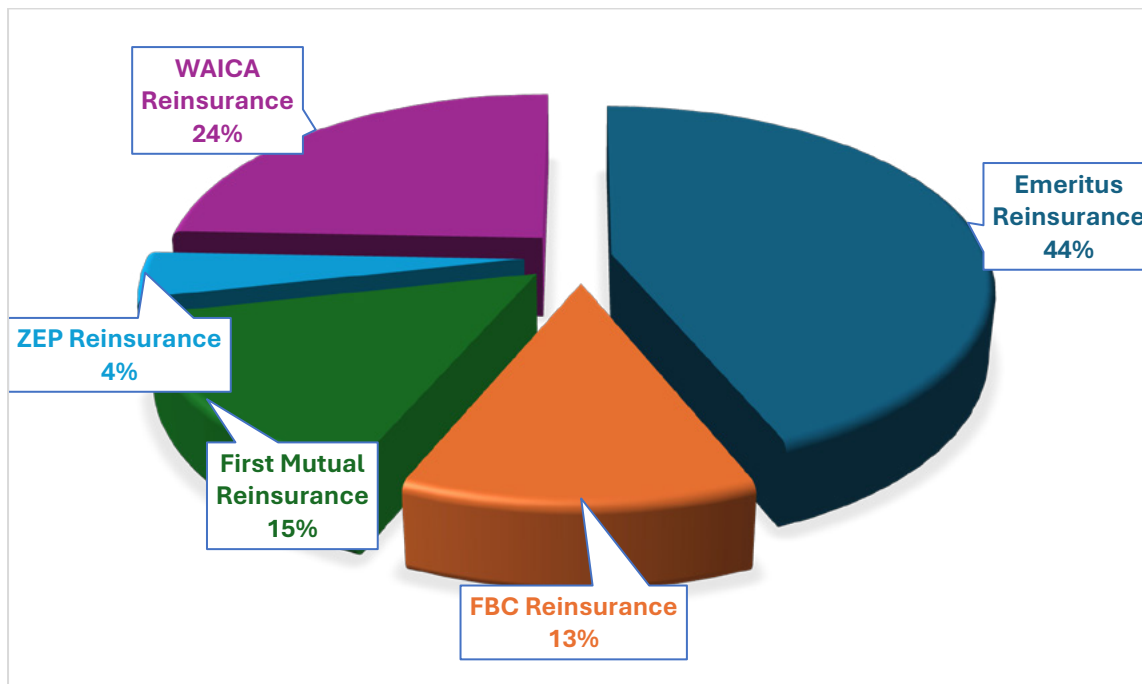
21.2. The distribution of market share within the reinsurance sector, based on reinsurance revenue, is depicted in the figure below.

Figure 11: Market Share by Reinsurance Revenue

Market Share in Terms of Total Assets

21.3. Emeritus Re held the largest share of the reinsurance sector at 44%, followed by WAICA Re with 24%. The remaining market share was divided among First Mutual Re at 15%, FBC Re at 13%, and ZEP Re at 4%.

21.4. The breakdown of market share by value of assets is shown in the figure below.

Figure 12: Market Share Distribution in Terms of Total Assets

22. Capitalisation

22.1. Among all reinsurance companies, Emeritus Re, FML Re, and WAICA Re satisfied the US\$2 million capital requirement.

22.2. The remaining two reinsurers did not meet the proposed minimum capital standards and are required to develop compliance strategies to align with the new capital framework once the relevant regulations are published.

22.3. The table below displays the current capitalisation levels for the reinsurance companies.

Table 9: Capitalisation of Reinsurance Companies

Name of Company	Capital - ZWG Million	US\$2 Million Equivalent
	June-25	June-25
Emeritus Reinsurance	127.90	4.75
FBC Reinsurance	23.71	0.88
First Mutual Reinsurance	56.58	2.10
ZEP Reinsurance	7.29	0.27
WAICA Re	85.16	3.16
Total	300.64	11.16



Section F

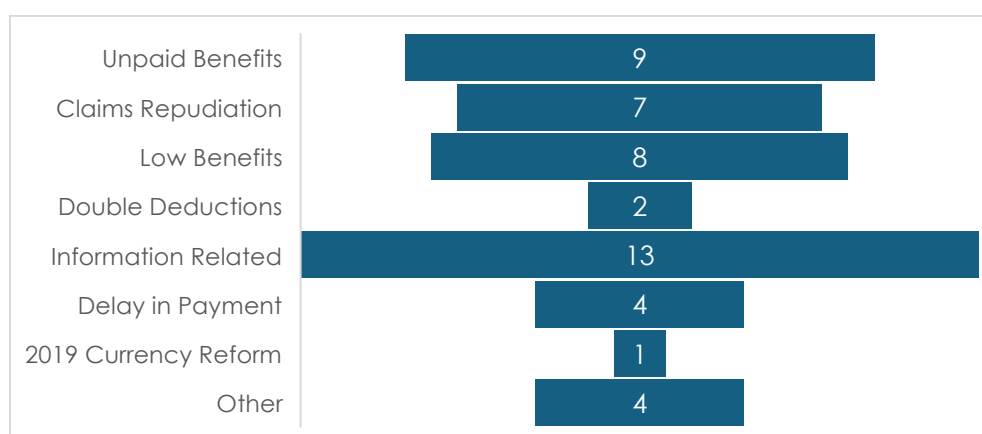
COMPLAINTS HANDLING AND PENALTIES FOR REGULATORY BREACHES

23. COMPLAINTS HANDLING AND PENALTIES FOR REGULATORY BREACHES

23.1. In the half year ended 30 June 2025, the Commission received a total of 48 complaints, 31 related to funeral services and 17 concerning life insurance. The primary sources of complaints included unpaid benefits at 19%, with low benefits and poor communication each accounting for 17%.

23.2. Funeral claims repudiation made up 15%, while lack of information constituted 10%. Delays in settlement and other issues (such as lapsed policies, ongoing deductions of premiums on paid and cancelled policies, and premium refunds) each represented 8%.

Figure 13: Nature of Complaints

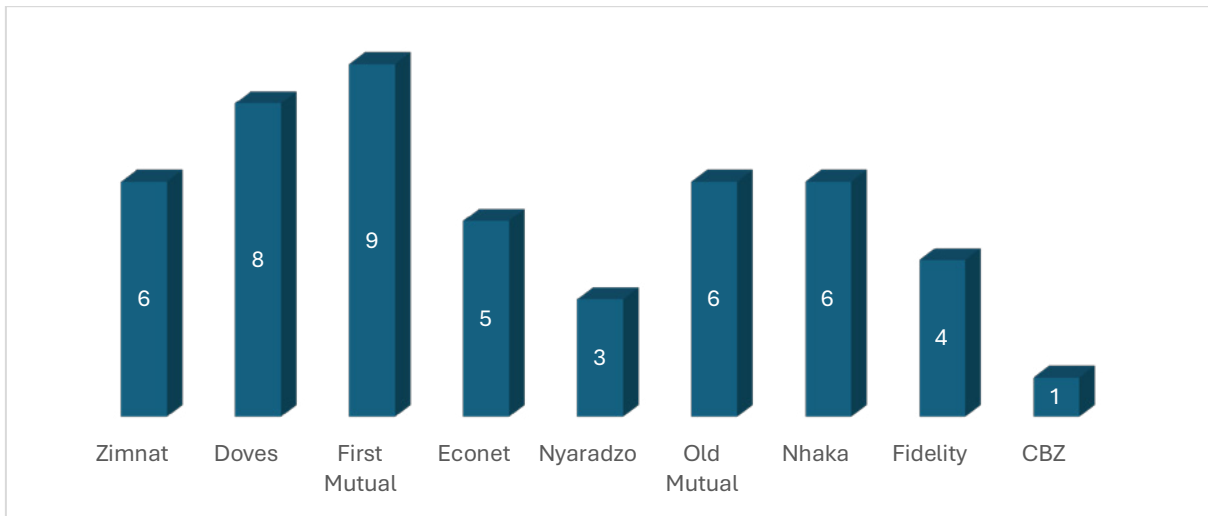


23.3. Unpaid benefits that are due, low benefit levels, and insufficient communication continue to be significant challenges in the industry. The Commission emphasises the importance of the sector notifying stakeholders of any policy changes to rebuild confidence and trust.

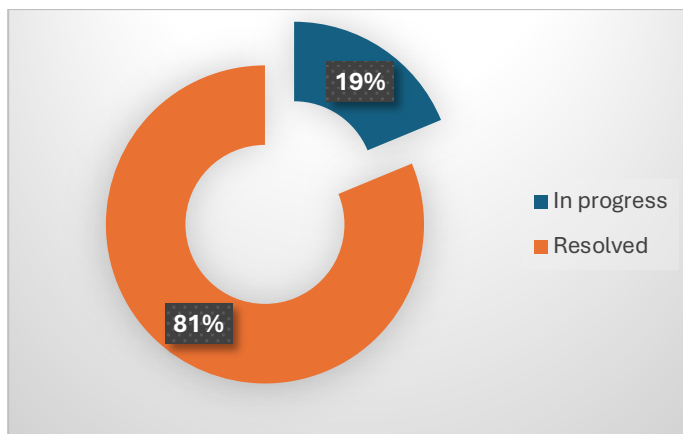
Breakdown of Complaints by Entity

23.4. During the six months ended 30 June 2025, First Mutual Life had the highest number of complaints at 19%, followed closely by Doves Life with 17%. Zimnat Life, Old Mutual Life, and Nhaka Life each accounted for 13% of complaints, while Econet Life received 10%, Fidelity Life 8%, Nyaradzo Life 6%, and CBZ Life recorded the lowest at 2%.

23.5. The distribution of complaints by entity is shown in the figure below.

Figure 14: Complaints by Entity**Status of the Complaints**

23.6. During the quarter under review, the resolution rate of life complaints was 81.25% as shown in the chart below.

Figure 15: Status of Complaints

23.7. However, a significant disparity exists between complex and non-complex complaints. Specifically, 3 out of 8 complex complaints have been resolved, yielding a resolution rate of 37.5%, with five complaints remaining outstanding.

23.8. The five complaints related to low benefits and the 2009 compensation.

23.9. In contrast, the resolution rate for non-complex complaints stands at 90%, with 36 out of 40 complaints resolved and only four outstanding; the four unresolved complaints related to lack of communication and Unpaid benefits.



Section G

ANTI-MONEY LAUNDERING
AND COMBATING THE
FINANCING OF TERRORISM
AND PROLIFERATION
FINANCING

SECTION G

24. ANTI-MONEY LAUNDERING AND COMBATING THE FINANCING OF TERRORISM AND PROLIFERATION FINANCING

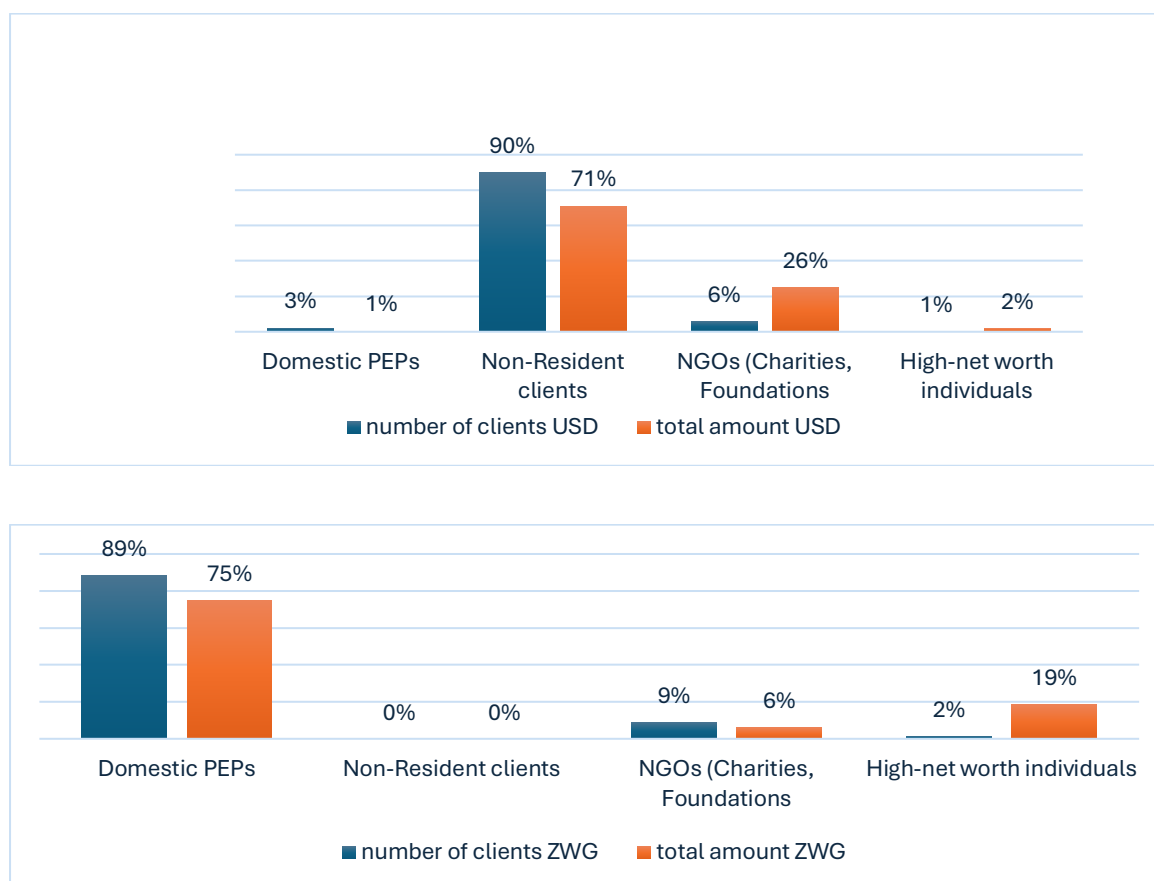
24.1. All twelve life assurance companies submitted their Q2 2025 AML/CFT/CPF returns. The sector demonstrates a clear understanding of key risks related to money laundering (ML), terrorist financing (TF), and proliferation financing (PF).

24.2. While overall compliance is improving, areas requiring enhanced focus include the risk assessment of clients, consistent application of enhanced due diligence and vigilance over cash transactions.

Assessment of ML/TF/PF Inherent Risk Factors and Controls

Client Risk

Figure 16: Proportion of US\$ and ZWG Revenue per Client's Category



24.3. Revenue from high-risk clients constituted 2.49% of total US\$ revenue and 0.60% of the total ZWG revenue. Non-residence clients dominated the high-risk US\$

segment (90% of revenue), primarily due to one insurer's funeral diaspora product.

- 24.4. Domestic Politically Exposed Persons (PEPs) constituted the largest share of high-risk ZWG business, accounting for 75% of premiums and 89% of high-risk clients.
- 24.5. High-net-worth individuals represented 19% of high-risk ZWG clients and 1% of clients in the US\$ segment. Robust due diligence for non-resident clients is critical. Domestic PEPs represented the largest segment of high-risk ZWG business.

Product Risk

- 24.6. The market remains concentrated in lower-risk funeral assurance products, accounting for 69% of revenue. Group Life Assurance 14%, conventional life assurance products 4.85% and other products notably consisting of investment-linked and savings-type products accounted for 12%.
- 24.7. Investment-linked and savings type products present higher ML vulnerability due to features like cash value accumulations and possible early withdrawals. Product specific controls must be maintained and enhanced where warranted.

Use of Intermediaries

- 24.8. The sector relies heavily on agents and brokers for distribution. Companies must ensure all intermediaries are fully trained and compliant with AML/CFT/CPF policies and procedures.

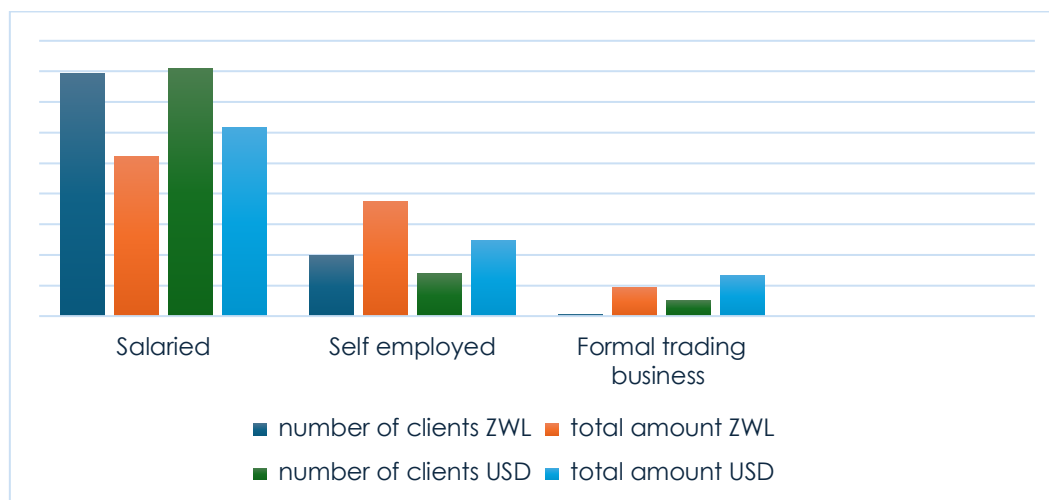
High-Risk Jurisdictions

- 24.9. One life assurer reported clients resident in FATF identified high-risk jurisdictions. The products involved are, however, considered low risk for ML and TF; appropriate risk-based due diligence measures must be applied.
- 24.10. Five companies maintain branches in high-risk areas within the country (such as centres vulnerable to illicit trade in precious stones and metals). Robust risk management measures are crucial in these locations.

Source of Funds

24.11. Salaried individuals are the primary source of premiums (52% ZWG, 62% US\$) as shown in the graph below. Self-employed clients contributed 38% ZWG, 25% US\$, while formal business entities accounted for 10% ZWG, 13% US\$. Customer due diligence must be commensurate with each client's risk profile to verify the legitimacy of funds.

Figure 17: Source of Funds



Mode of Payments

24.12. While electronic payments are standard, cash payments, particularly in US\$, remain significant, accounting for 27% of USD premiums. Vigilant customer due diligence and transaction monitoring are required for all cash payments, regardless of value.

Suspicious Transactions and Large Cash Transactions

24.13. Five Suspicious Transaction Reports (STRs) and 27 large cash transaction reports (CTRs) were filed with FIU in Q2, demonstrating life assurance providers' active monitoring of client activity and compliance with regulatory requirements, thereby supporting broader financial sector integrity.

24.14. The quality of STRs must continue to improve with sufficient details provided, and measures to prevent "tipping off" must be strictly adhered to.

United Nations Security Council Resolutions Sanctions Screening

24.15. All companies have UN sanctions screening systems, but effectiveness varies.

Only six conducted continuous screening, while the remainder screened only upon FIU notifications.

24.16. Screening is an integral part of AML/CFT/CPF compliance and must be done on an ongoing basis. Targeted financial sanctions must be implemented immediately - without delay, freezing transactions immediately upon receipt of updated lists and filing the appropriate responses within 24 hours upon list updates.

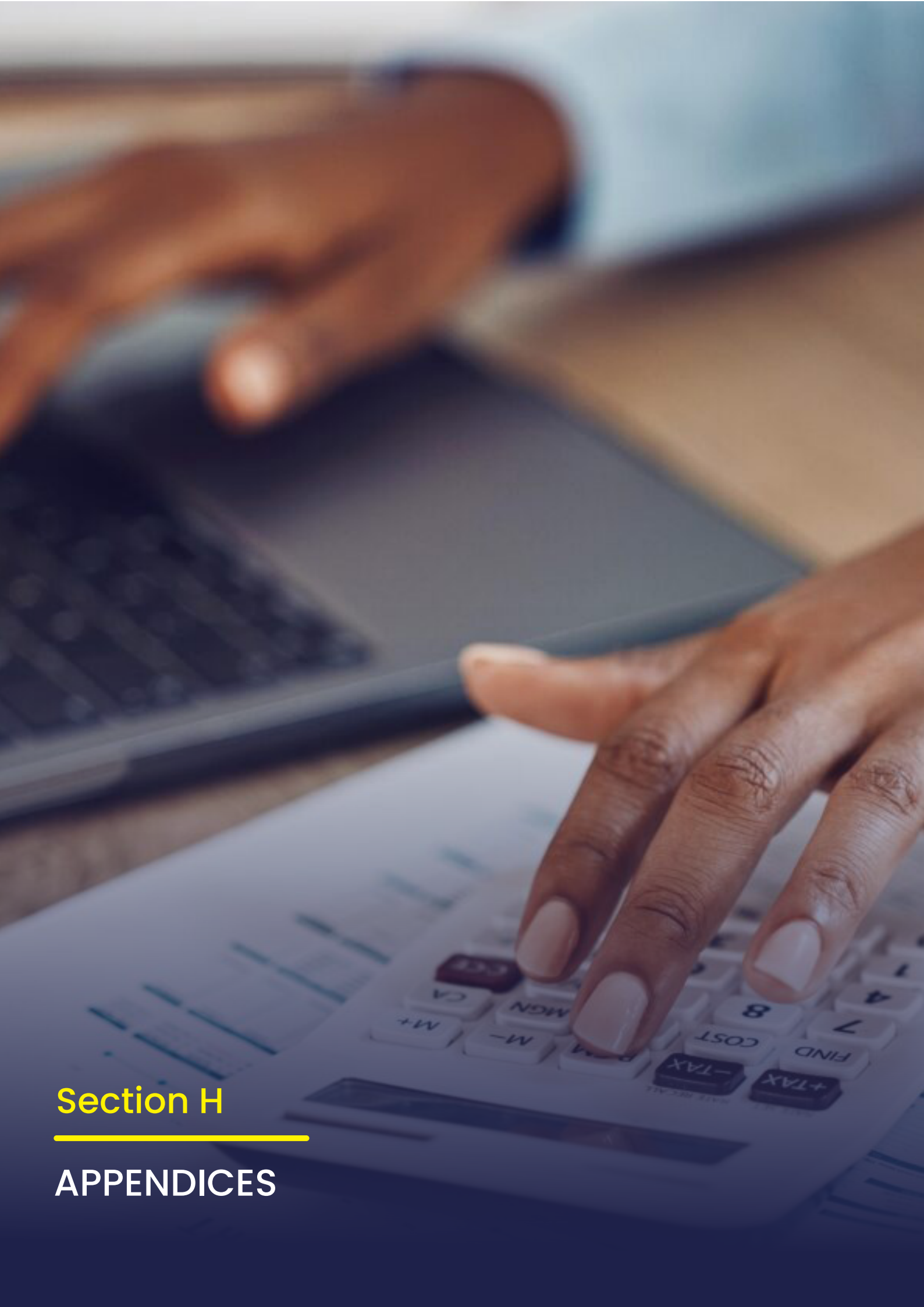
24.17. Companies must comply with all statutory deadlines to avoid penalties.

24.18. The sector shows continuous improvement in implementing AML/CFT/CPF measures. To further mitigate ML/FT/PF risks and reinforce sector integrity, life insurers must continue to:

- Enhance customer risk profiling frameworks to ensure accurate classification.
- Apply Enhanced Due Diligence consistently for high-risk clients.
- Implement ongoing UNSCR sanctions screening.
- Maintain rigorous due diligence and monitoring of all cash transactions.

25. Conclusion

- 25.1. The outlook for the sector is one of guarded optimism. While the challenges of economic instability and low public trust are significant, the growth potential is undeniable.
- 25.2. The ability to move beyond traditional products and offer solutions that are relevant to the changing economic landscape and the needs of the informal sector is critical.
- 25.3. Adopting digital solutions to improve efficiency, reduce costs, and enhance the customer experience is essential for success.
- 25.4. Building trust through transparent operations, efficient claims handling, and offering products that genuinely preserve value is paramount to attracting and retaining customers.
- 25.5. The industry is at a crossroads, where it must adapt and innovate to remain relevant and contribute to the country's economic development



Section H

APPENDICES

SECTION H

APPENDICES

APPENDIX A1. STATEMENT OF COMPREHENSIVE INCOME FOR LIFE ASSURERS FOR THE HALF YEAR ENDED 30 JUNE 2025 - ZWG MILLION

	CBZ Life	Doves Life	Econet Life	Evolution Life	Fidelity Life	First Mutual Life	Heritage Life	Nhaka Life	Nyaradzo Life	Old Mutual Life	ZB Life	Zimnat Life	Total
Insurance Revenue	81.32	468.55	186.70	4.91	117.58	201.71	1.11	12.41	1,170.16	427.60	75.38	185.17	2,932.61
Revenue from contracts measured under the PAA	27.73	129.93	183.15	-	13.60	199.12	1.11	12.41	-	427.60	69.36	185.17	1,249.18
Revenue from contracts measured under the GMM	53.48	338.61	3.55	4.91	103.99	-	-	-	1,170.16	-	5.13	-	1,679.83
Expected incurred claims	-	149.27	-	3.02	46.92	-	-	-	229.21	-	3.62	-	432.04
Change in risk adjustment for non-financial risk	53.48	23.75	-	0.48	5.46	-	-	-	22.92	-	-	-	106.06
CSM recognised in P&L for the services provided	-	110.83	3.55	1.74	51.61	-	-	-	917.84	-	0.47	-	1,086.04
Insurance acquisition cashflows recovery	-	54.78	-	-	-	-	-	-	0.19	-	1.05	-	55.68
Revenue from contracts measured under the VFA	0.11	-	-	-	-	2.59	-	-	-	-	0.89	-	3.59
Expected incurred claims	-	-	-	-	-	0.83	-	-	-	-	-	-	0.67
Change in risk adjustment for non-financial risk	0.11	-	-	-	-	0.06	-	-	-	-	-	-	-

	CBZ Life	Doves Life	Econet Life	Evolution Life	Fidelity Life	First Mutual Life	Heritage Life	Nhaka Life	Nyaradzo Life	Old Mutual Life	ZB Life	Zimnat Life	Total
CSM recognised in P&L for the services provided	-	-	-	-	-	1.70	-	-	-	-	0.27	-	1.98
Insurance acquisition cashflows recovery	-	-	-	-	-	-	-	-	-	-	0.98	-	0.98
Insurance service expenses from insurance contracts issued:	-	-	-	-	-	-	-	-	-	-	-	-	-
	80.26	113.10	155.16	3.68	14.85	109.36	0.42	4.14	937.21	223.89	56.74	66.30	1,765.12
Incurred claims	-	-	-	-	-	-	-	-	-	-	-	-	-
	30.86	81.99	93.57	0.86	9.02	45.15	0.42	3.88	693.86	100.99	20.33	52.09	1,133.03
Insurance contract expenses	-	-	-	-	-	-	-	-	-	-	-	-	-
	36.80	31.11	-	3.09	4.33	36.82	-	0.26	-	122.91	34.38	14.21	283.90
Insurance contract acquisition cashflows	-	-	-	-	-	-	-	-	-	-	-	-	-
	12.60	-	57.54	0.27	1.50	24.46	-	-	0.19	-	2.03	-	98.59
Adjustments to liabilities for incurred claims	-	-	-	-	-	-	-	-	-	-	-	-	-
	-	-	3.44	-	-	2.94	-	-	-	-	-	-	6.38
Losses (and reversal of losses) on onerous insurance contracts	-	-	-	-	-	-	-	-	-	-	-	-	-
	-	-	0.60	0.55	-	-	-	-	243.16	-	-	-	243.21
Insurance service result before reinsurance	-	-	-	-	-	-	-	-	-	-	-	-	-
	1.05	355.45	31.55	1.23	102.73	92.35	0.69	8.27	232.96	203.71	18.64	118.87	1,167.49
Allocation of reinsurance premiums (net of reinsurance commission)	-	-	-	-	-	-	-	-	-	-	-	-	-
	3.99	-	8.89	-	1.68	1.50	-	0.35	-	4.38	3.28	9.83	33.90
Amounts recoverable from reinsurers for incurred claims	-	-	-	-	-	-	-	-	-	-	-	-	-
	-	-	-	-	-	0.27	-	-	-	0.42	0.08	0.54	0.22

	CBZ Life	Doves Life	Econet Life	Evolution Life	Fidelity Life	First Mutual Life	Heritage Life	Nhaka Life	Nyaradzo Life	Old Mutual Life	ZB Life	Zimnat Life	Total
Net income / (expense) from reinsurance contracts held	- 3.99	-	- 8.89	-	- 1.68	- 1.24	-	- 0.35	-	- 3.96	- 3.20	- 10.38	- 33.68
Insurance service result	- 2.93	355.45	22.65	1.23	101.05	91.11	0.69	7.92	232.96	199.75	15.44	108.49	1,133.81
Interest received	2.09	-	6.06	-	0.05	15.23	-	-	4.48	28.93	5.93	0.64	63.41
Quoted equities - fair value adjustments	2.31	-	4.46	-	- 1.15	- 14.79	-	-	3.44	150.88	- 2.39	0.48	143.24
Unquoted equities - fair value adjustments	-	-	1.86	-	-	-	-	-	10.95	87.51	-	0.36	100.68
NAV movements in group companies	-	-	-	-	-	28.06	-	-	-	-	3.53	-	31.59
Dividend income	-	0.20	4.55	-	-	10.05	-	-	3.20	159.30	0.67	5.51	183.47
Rental income	0.72	6.61	0.93	-	1.87	-	-	-	1.24	28.06	7.18	-	46.60
Net foreign exchange income / (expense)	6.09	-	-	-	0.49	0.44	-	-	-	-	-	- 0.69	6.34
Other Income	1.64	- 1.20	0.69	0.42	- 0.02	5.36	0.01	4.43	75.17	-	4.63	0.86	91.98
Total Investment Income	12.84	5.62	18.55	0.42	1.24	44.35	0.01	4.43	98.47	454.68	19.55	7.17	667.32
Insurance finance income (expenses) for insurance contracts issued	- 0.76	4.09	- 0.02	- 0.35	-	- 32.76	- 0.01	- 0.17	- 26.27	-	7.42	-	- 48.83
Reinsurance finance income (expenses) for reinsurance contracts held	-	-	- 0.04	-	-	-	-	0.04	-	-	-	-	-

	CBZ Life	Doves Life	Econet Life	Evolution Life	Fidelity Life	First Mutual Life	Heritage Life	Nhaka Life	Nyaradzo Life	Old Mutual Life	ZB Life	Zimnat Life	Total
Net insurance financial result	- 0.76	4.09	- 0.06	- 0.35	-	- 32.76	- 0.01	- 0.13	- 26.27	-	7.42	-	- 48.82
Net investment result	12.08	9.71	18.49	0.08	1.24	11.59	-	4.31	72.20	454.68	26.97	7.17	618.50
Administrative Expenses(indirectly linked to insurance service provision)	- 1.70	- 30.90	- 13.65	- 0.70	- 24.54	- 95.02	- 0.89	- 13.25	- 267.71	-	- 69.98	- 111.88	- 630.22
Fair value adjustments (negative)	-	- 1.89	-	- 0.07	-	-	1.02	-	-	-	-	-	- 0.95
Other Expenses	- 2.18	- 123.59	- 0.97	- 0.19	- 1.55	-	- 0.52	- 2.09	-	- 77.13	-	- 0.70	- 202.77
Total for other Expenditure	- 3.88	- 156.37	- 12.68	- 0.95	- 26.09	- 95.02	- 0.39	- 11.16	- 267.71	- 77.13	- 69.98	- 112.58	- 833.94
Profit (Loss) before tax	5.27	208.78	28.46	0.35	76.21	7.69	0.30	1.07	37.44	577.30	27.58	3.08	918.36
Taxation	- 0.49	- 6.96	-	-	- 0.06	-	-	-	-	-	7.10	- 0.15	- 13.37
Profit (Loss) after tax	4.78	215.74	28.46	0.35	76.14	7.68	0.30	1.07	37.44	577.30	20.47	2.93	931.73
Other Comprehensive Income for the year	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Comprehensive Profit/(Loss) Attributable to Shareholders	4.78	215.74	28.46	0.35	76.14	7.68	0.30	1.07	37.44	577.30	20.47	2.93	931.73

APPENDIX A2. STATEMENT OF FINANCIAL POSITION FOR LIFE ASSURERS AS AT 30 JUNE 2025 - ZWG MILLION

	CBZ Life	Doves Life	Econet Life	Evolution Life	Fidelity Life	First Mutual Life	Heritage Life	Nhaka Life	Nyaradzo Life	Old Mutual Life	ZB Life	Zimnat Life	Total
Assets													
Non-Current Assets													
Intangible Assets	-	-	-	0.18	-	0.37	-	1.35	-	-	-	0.09	1.99
Property, Plant and Equipment	28.35	135.73	16.62	0.56	25.01	6.33	-	3.20	2,848.62	24.67	-	21.28	3,110.38
Investment Property	115.58	620.11	18.06	57.15	664.88	-	-	9.90	276.78	1,078.59	86.56	-	2,927.60
Investments: Quoted equities	54.65	13.27	99.77	0.22	20.81	445.60	-	-	66.02	1,803.59	27.55	11.90	2,543.39
Unquoted equities	15.97	4.11	32.43	103.14	750.96	186.21	1.02	-	12.15	440.05	7.56	223.62	1,777.24
Bonds	-	1.72	-	-	0.00	31.57	-	-	-	18.64	5.31	4.14	61.38
Deferred tax asset	-	-	-	1.90	-	-	-	-	-	-	-	-	1.90
Other Non-Current Assets	-	-	24.00	-	169.06	1,967.15	-	118.34	-	-	0.00	23.83	2,302.38
Total Non-Current Assets	214.55	774.95	190.89	163.15	1,630.73	2,637.24	1.02	132.79	3,203.57	3,365.54	126.97	284.86	12,726.26
Current Assets													
Insurance Contract Assets	14.71	86.16	13.53	-	-	17.61	-	-	-	-	-	-	132.02
Reinsurance Contract Held Assets	0.09	-	1.00	-	-	0.89	-	-	-	-	-	-	1.98
Money market investments	24.96	-	62.85	-	13.40	141.62	-	-	65.53	42.36	29.79	12.99	393.51
Other Short-Term Investments	-	13.47	-	-	-	-	-	0.19	225.94	-	-	-	239.59
Other receivables	8.92	-	3.76	0.00	181.07	0.03	0.00	0.66	40.49	-	587.27	104.79	927.00
Cash and Bank Balances	15.36	21.45	52.90	0.20	13.16	41.88	0.16	0.02	331.99	63.50	4.84	30.12	575.59
Other Current Assets	0.06	173.27	8.60	2.68	0.57	2.30	0.14	9.51	589.89	115.24	-	-	902.24
Total Current Assets	64.10	294.35	142.65	2.88	208.20	204.32	0.31	10.37	1,253.83	221.10	621.90	147.90	3,171.92
Total Assets	278.66	1,069.30	333.54	166.03	1,838.93	2,841.56	1.32	143.16	4,457.41	3,586.65	748.87	432.76	15,898.18

	CBZ Life	Doves Life	Econet Life	Evolution Life	Fidelity Life	First Mutual Life	Heritage Life	Nhaka Life	Nyaradzo Life	Old Mutual Life	ZB Life	Zimnat Life	Total
Liabilities and Equity													
Current Liabilities													
Insurance Contract Liabilities:	100.27	217.50	33.68	4.02	-	1,853.76	0.55	0.76	240.00	-	-	-	2,450.55
Best Estimate Liability (BEL)	-	217.50	33.45	10.67	-	1,803.41	-	0.76	60.55	-	-	-	2,105.01
Risk Adjustment (RA)	18.88	-	0.23	4.05	-	1.21	-	-	29.14	-	-	-	53.50
Contractual Service Margin (CSM)	81.40	-	-	10.64	-	49.14	0.55	-	150.30	-	-	-	292.03
Reinsurance Contract Held Liabilities:	0.48	-	3.73	-	-	-	-	-	-	-	-	-	4.21
Best Estimate Liability (BEL)	-	-	3.73	-	-	-	-	-	-	-	-	-	3.73
Risk Adjustment (RA)	-	-	-	-	-	-	-	-	-	-	-	-	-
Contractual Service Margin (CSM)	0.48	-	-	-	-	-	-	-	-	-	-	-	0.48
Related party payables	-	-	82.22	-	-	30.01	-	2.76	-	-	23.80	9.69	148.48
Current provisions	-	9.62	17.52	-	-	-	0.36	-	-	-	51.78	8.90	68.93
Finance lease obligations	-	-	-	-	-	17.21	-	1.41	-	-	13.90	17.28	49.81
Bank Overdrafts	-	-	-	-	-	-	-	-	-	-	6.32	-	6.32
Payables Arising from Retrocession Arrangements	-	-	-	-	-	-	-	2.61	-	-	-	-	2.61
Other payables	10.76	10.58	3.53	-	-	65.71	0.05	6.67	-	-	-	139.05	236.34
Total Current Liabilities	111.51	218.47	140.67	4.02	-	1,966.69	0.96	14.21	240.00	-	95.80	174.92	2,967.24
Non-current liabilities													
Insurance Contract Liabilities:	-	-	-	-	942.50	-	-	-	999.05	287.59	227.61	11.11	2,467.87
Best Estimate Liability (BEL)	-	-	-	-	5.97	-	-	-	908.23	283.45	173.21	11.11	1,381.97
Risk Adjustment (RA)	-	-	-	-	100.07	-	-	-	90.82	4.14	8.89	-	203.92
Contractual Service Margin (CSM)	-	-	-	-	836.47	-	-	-	-	-	45.52	-	881.98
Reinsurance Contract Held Liabilities:	-	-	-	-	1.94	-	-	-	-	0.67	-	1.38	1.23

	CBZ Life	Doves Life	Econet Life	Evolution Life	Fidelity Life	First Mutual Life	Heritage Life	Nhaka Life	Nyaradzo Life	Old Mutual Life	ZB Life	Zimnat Life	Total
Best Estimate Liability (BEL)	-	-	-	-	1.94	-	-	-	-	0.66	-	1.38	1.22
Risk Adjustment (RA)	-	-	-	-	-	-	-	-	-	0.01	-	-	0.01
Contractual Service Margin (CSM)	-	-	-	-	-	-	-	-	-	-	-	-	-
Long Term Loans	-	16.33	-	-	26.55	-	-	0.75	-	-	-	2.94	46.57
Provision for investment contract liabilities	18.88	-	0.91	-	108.11	228.58	-	104.53	-	-	-	-	461.00
Deferred Tax liability	-	65.56	-	-	-	0.00	-	-	629.32	-	-	13.44	708.31
Other Liabilities	-	-	0.13	-	141.55	98.54	0.07	-	-	-	258.52	-	498.81
Total Non-Current Liabilities	18.88	81.89	1.03	-	1,216.77	327.12	0.07	105.27	1,628.37	286.92	486.13	28.88	4,181.33
													-
Total Liabilities	130.39	300.35	141.70	4.02	1,216.77	2,293.80	1.02	119.48	1,868.37	286.92	581.93	203.80	7,148.57
Share Capital and Reserves													
Share Capital	-	1.00	0.00	0.00	29.15	0.00	0.00	0.00	0.00	-	0.57	0.65	31.38
Share Premium	37.13	-	0.00	0.01	17.97	67.61	-	0.01	-	159.81	10.86	1.47	294.88
Insurance finance reserve	-	-	-	0.00	60.28	-	-	-	-	-	-	-	60.28
Investment Reserve	-	-	-	-	-	-	-	-	-	-	21.85	-	21.85
Revaluation Reserve	25.28	30.18	17.53	0.48	357.17	-	-	-	1,738.88	51.28	10.15	-	2,230.96
Non-Distributable Reserve	5.33	-	-	0.00	14.06	9.41	-	14.74	0.00	157.43	-	-	200.98
Retained Earnings Prior Years	75.73	522.03	145.84	161.16	66.25	511.02	-	7.86	10.18	2,353.90	143.99	223.90	4,221.86
Retained Earnings - Current Period	4.78	215.74	28.46	0.35	76.14	7.68	0.30	1.07	37.44	577.30	- 20.47	2.93	931.73
Other	-	-	-	-	1.13	47.97	-	-	802.54	-	-	-	755.69
Shareholders' Equity	148.27	768.94	191.83	162.01	622.16	547.76	0.30	23.68	2,589.04	3,299.73	166.94	228.96	8,749.61
Total Equity and Liabilities	278.66	1,069.30	333.54	166.03	1,838.93	2,841.56	1.32	143.16	4,457.41	3,586.65	748.87	432.76	15,898.18

APPENDIX A3. STATEMENT OF COMPREHENSIVE INCOME FOR LIFE REASSURERS FOR THE QUARTER ENDED 30 JUNE 2025 - ZWG Million.

	Emeritus Reinsurance	FBC Reinsurance	First Mutual Reinsurance	ZEP Reinsurance	WAICA Reinsurance	Total
Insurance Revenue	60.71	22.86	19.94	4.25	9.73	117.49
Revenue from contracts measured under the PAA	60.71	22.86	19.94	4.25	9.73	117.49
Revenue from contracts measured under the GMM	-	-	-	-	-	-
Expected incurred claims	-	-	-	-	-	-
Change in risk adjustment for non-financial risk	-	-	-	-	-	-
CSM recognised in P&L for the services provided	-	-	-	-	-	-
Insurance acquisition cashflows recovery	-	-	-	-	-	-
Revenue from contracts measured under the VFA	-	-	-	-	-	-
Expected incurred claims	-	-	-	-	-	-
Change in risk adjustment for non-financial risk	-	-	-	-	-	-
CSM recognised in P&L for the services provided	-	-	-	-	-	-
Insurance acquisition cashflows recovery	-	-	-	-	-	-
Insurance service expenses from insurance contracts issued:	-34.11	-19.03	-5.73	-2.75	-8.82	-70.44
Incurred claims	-6.77	-11.84	-1.73	-2.50	-7.79	-30.63
Insurance contract expenses	-7.07	-2.62	-0.50	-	-	-10.18
Insurance contract acquisition cashflows	-14.54	-4.57	-3.50	-	-1.03	-23.65
Adjustments to liabilities for incurred claims	-5.73	-	-	-0.25	-	-5.98
Losses (and reversal of losses) on onerous insurance contracts	-	-	-	-	-	-

	Emeritus Reinsurance	FBC Reinsurance	First Mutual Reinsurance	ZEP Reinsurance	WAICA Reinsurance	Total
Insurance service result before reinsurance	26.60	3.83	14.21	1.50	0.91	47.05
Allocation of reinsurance premiums (net of reinsurance commission)	-2.52	-6.23	-0.40	-0.09	-	-9.25
Amounts recoverable from reinsurers for incurred claims	-	4.61	-	-	-	4.61
Net income / (expense) from reinsurance contracts held	-2.52	-1.62	-0.40	-0.09	-	-4.64
Insurance service result	24.07	2.21	13.81	1.40	0.91	42.41
Interest received	0.11	1.18	0.57	-	-	1.85
Quoted equities - fair value adjustments	-2.93	1.55	1.88	-	-	0.49
Unquoted equities - fair value adjustments	-	-	-	-	-	-
NAV movements in group companies	-	-	-	-	-	-
Dividend income	-	0.08	0.14	-	-	0.23
Rental income	2.79	-	-	-	-	2.79
Net foreign exchange income / (expense)	0.45	-0.25	-0.02	-	-0.01	0.17
Other Income	2.51	-	-	-	-	2.51
Total Investment Income	2.93	2.56	2.57	-	-0.01	8.05
Insurance finance income (expenses) for insurance contracts issued	-	-	-	-0.08	-0.01	-0.09
Reinsurance finance income (expenses) for reinsurance contracts held	-	-	-	0.02	-	0.02
Net insurance financial result	-	-	-	-0.06	-0.01	-0.07
Net investment result	2.93	2.56	2.57	-0.06	-0.02	7.98
Administrative Expenses(indirectly linked to insurance service provision)	-2.36	-2.69	-0.39	-0.18	-1.65	-7.27
Fair value adjustments (negative)	-	-	-	-	-	-
Other Expenses	-0.45	-	-	-	-	-0.45
Total for other Expenditure	-2.80	-2.69	-0.39	-0.18	-1.65	-7.72

	Emeritus Reinsurance	FBC Reinsurance	First Mutual Reinsurance	ZEP Reinsurance	WAICA Reinsurance	Total
Profit (Loss) before tax	24.20	2.08	15.98	1.16	-0.76	42.66
Taxation	-	-0.54	-	-	-	-0.54
Profit (Loss) after tax	24.20	1.54	15.98	1.16	-0.76	42.13
Other Comprehensive Income for the year	-	-	-	-	-	-
Total Comprehensive Profit/(Loss) Attributable to Shareholders	24.20	1.54	15.98	1.16	-0.76	42.13

APPENDIX A4. STATEMENT OF FINANCIAL POSITION FOR LIFE REASSURERS AS AT 30 JUNE 2025 - ZWG Million

	Emeritus Reinsurance	FBC Reinsurance	First Mutual Reinsurance	ZEP Reinsurance	WAICA Reinsurance	Total
Assets						
Non-Current Assets						
Intangible Assets	-	-	-	-	-	-
Property, Plant and Equipment	0.01	-	0.13	-	-	0.14
Investment Property	89.72	-	-	-	-	89.72
Investments: Quoted equities	4.87	6.97	24.77	-	-	36.61
Unquoted equities	-	9.87	-	-	-	9.87
Bonds	-	-	-	-	-	-
Deferred tax asset	0.00	-	-	-	-	0.00
Other Non-Current Assets	5.19	-	-	-	-	5.19
Total Non-Current Assets	99.78	16.83	24.90	-	-	141.52
Current Assets						
Insurance Contract Assets	-	-	-	-	-	-
Reinsurance Contract Held Assets	5.63	-	0.17	7.09	-	12.89
Money market investments	-	30.84	9.14	3.66	96.97	140.61
Other Short-Term Investments	11.04	0.74	-	-	-	11.78
Other receivables	34.86	0.11	8.61	5.95	-	49.54
Cash and Bank Balances	14.33	3.02	5.09	-	2.67	25.10

	Emeritus Reinsurance	FBC Reinsurance	First Mutual Reinsurance	ZEP Reinsurance	WAICA Reinsurance	Total
Other Current Assets	13.25	-	14.07	-	-	27.32
Total Current Assets	79.12	34.71	37.08	16.69	99.64	267.24
						-
						-
Total Assets	178.90	51.55	61.98	16.69	99.64	408.76
						-
Liabilities and Equity						-
Current Liabilities						-
Insurance Contract Liabilities:	43.11	-	5.37	-	28.95	77.43
Best Estimate Liability (BEL)	43.11	-	5.17	-	28.95	77.23
Risk Adjustment (RA)	-	-	0.19	-	-	0.19
Contractual Service Margin (CSM)	-	-	-	-	-	-
Reinsurance Contract Held Liabilities:	-	-	-	9.40	-	9.40
Best Estimate Liability (BEL)	-	-	-	8.19	-	8.19
Risk Adjustment (RA)	-	-	-	1.22	-	1.22
Contractual Service Margin (CSM)	-	-	-	-	-	-
Related party payables	0.00	13.45	-	-	-	13.45
Current provisions	-	13.86	-	-	-	13.86
Payables Arising from Retrocession Arrangements	7.89	-	-	-	-	7.89
Other payables	0.00	-	0.04	-	14.48	-14.44

	Emeritus Reinsurance	FBC Reinsurance	First Mutual Reinsurance	ZEP Reinsurance	WAICA Reinsurance	Total
Total Current Liabilities	51.00	27.30	5.41	9.40	14.48	107.59
Non-current liabilities						
Insurance Contract Liabilities:	-	-	-	-	-	-
Best Estimate Liability (BEL)	-	-	-	-	-	-
Risk Adjustment (RA)	-	-	-	-	-	-
Contractual Service Margin (CSM)	-	-	-	-	-	-
Reinsurance Contract Held Liabilities:	-	-	-	-	-	-
Best Estimate Liability (BEL)	-	-	-	-	-	-
Risk Adjustment (RA)	-	-	-	-	-	-
Contractual Service Margin (CSM)	-	-	-	-	-	-
Long Term Loans	-	-	-	-	-	-
Provision for investment contract liabilities	-	-	-	-	-	-
Deferred Tax liability	-	-	-	-	-	-
Other Liabilities	-	0.54	-	-	-	0.54
Total Non - Current Liabilities	-	0.54	-	-	-	0.54
Total Liabilities	51.00	27.84	5.41	9.40	14.48	108.13
Share Capital and Reserves						
Share Capital	13.00	-	0.00	-	80.84	93.84

	Emeritus Reinsurance	FBC Reinsurance	First Mutual Reinsurance	ZEP Reinsurance	WAICA Reinsurance	Total
Share Premium	167.39	-	7.37	-	-	174.77
Insurance finance reserve	-	-	-	-	-	-
Investment Reserve	-	-	-	-	-	-
Revaluation Reserve	180.14	-	-	-	-	180.14
Non-Distributable Reserve	-	-	-	-	-	-
Retained Earnings Prior Years	103.45	22.17	33.24	6.13	5.08	170.07
Retained Earnings - Current Period	24.20	1.54	15.98	1.16	0.76	42.13
Minority Interest	-	-	-	-	-	-
Other	-	-	0.02	-	-	0.02
Shareholders' Equity	127.90	23.71	56.58	7.29	85.16	300.64
Total Equity and Liabilities	178.90	51.55	61.98	16.69	99.64	408.76



Life Assurance Sector Report

for the Half Year Ended 30 June 2025

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